

School of Public Policy
The London School of Economics and Political Science



Britain's 1986 Big Bang: how State-led financial deregulation durably boosted inequality and hampered long-term economic welfare in the UK

Louis Flamencourt

Master of Public Administration
PP4B4 Dissertation
May 2025

Word count: 9,995

Abstract

The deregulation of Britain's financial sector has long been praised for its success in times of high inflation and stagnating economic growth. However, increasing attention has been given to the larger implications of financialisation on economic and social welfare. This study examines the effects of Britain's 1986 Big Bang on inequality and economic welfare. Using the synthetic controls method, I find that the Big Bang caused a 5.3 percentage point increase in living standards inequality in the UK, relative to a scenario of gradual financial deregulation. Inequality gains rose rapidly until the early 1990s and have since stabilised around 6 percentage points. These results are statistically significant and robust to specification changes, demonstrating strong internal validity (note that results are not externally valid beyond the UK context). Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain was the second-most unequal high-income economy globally, behind the United States; without the Big Bang, it would have ranked twelfth. Furthermore, this analysis finds that the economic benefits from the Big Bang disproportionately favoured the highest percentiles of the wealth distribution and were unevenly distributed regionally. The regions that benefited most from the Big Bang have become the most unequal and are now slower-growing than other less-unequal regions. Overall, while Britain's sudden financial deregulation may have accelerated short-term growth, its long-term effects on inequality have likely contributed to the UK's long-run economic slowdown.

Keywords: financialisation, financialised policymaking, inequality, Gini index, financial deregulation, Big Bang, Britain, United Kingdom, economic growth, economic policy, policymaking, synthetic controls method

Acknowledgments

I am grateful to Prof Richard Davies and Dr Ali Cirone from the LSE School of Public Policy for their support and guidance in undertaking this research. I also extend my gratitude to Prof Daniel Sturm from the LSE Department of Economics for his captivating module on advanced empirical methods, igniting my interest in the synthetic controls method that I employ in this study. I am proud to use the knowledge and methods I have learnt at LSE towards this work, which marks the end of my postgraduate studies.

Table of contents

Abstract	I
Acknowledgments	I
Table of contents	II
Acronyms and abbreviations	IV
List of figures	V
List of tables	V
1. Introduction	1
2. Policy problem: Britain's 1986 Big Bang	3
3. Literature review	5
3.1. The financialisation of the State theory	5
3.2. The financial deregulation and inequality nexus	6
3.3. Measuring inequality: the Gini coefficient	7
3.4. The transmission effects of inequality on growth	7
4. Theoretical framework	9
4.1. Research framework and hypotheses	9
4.2. Research contribution	10
5. Methodology	11
5.1. Motivation for using the synthetic control method	11
5.2. Research design	12
5.3. Data collection	13
5.4. Data sampling and sorting	14
5.5. Methodological limitations	15
6. Results	17
6.1. The synthetic UK	17
6.2. Treatment effects of the 1986 Big Bang	18
6.3. Placebo tests	20

6.4.	Robustness tests	22
7.	Discussion.....	23
7.1.	The Big Bang unambiguously increased inequalities in Britain.....	23
7.2.	Because of financial deregulation, Britain now ranks as the second-most unequal high-income economy in the world	24
7.3.	Economic gains from the Big Bang have disproportionately favoured the highest percentiles of the wealth distribution in a small number of regions.....	24
7.4.	The inequality gains caused by the Big Bang have likely contributed to Britain's long-run economic slowdown.....	26
8.	Conclusions and implications	28
8.1.	Study conclusions	28
8.2.	Policy implications	28
8.3.	Areas for future research.....	29
9.	References.....	30
10.	Annexes	37
	Annexe 1: Literature review summary tables.....	37
	Annexe 2: Empirical analysis statistical tables	39

Acronyms and abbreviations

Acronym/abbreviation	Meaning
CAGR	Compound Annual Growth Rate
DAG	Directed Acyclic Graph
DPI	Database of Political Institutions
EEC	European Economic Community
EOD	Economic Openness Database
G7	Group of Seven
GDP	Gross Domestic Product
GFC	Global Financial Crisis
GFDD	Global Financial Development Database
GVA	Gross Value Added
HM	His Majesty's
IEP	Indicators of Employment Protection
IR	Interest Rate
LOO	Leave-One-Out
LSE	London Stock Exchange
MSPE	Mean Squared Prediction Error
OECD	Organisation for Economic Cooperation and Development
ONS	Office for National Statistics
RMSPE	Root Mean Squared Prediction Error
SCM	Synthetic Control Method
UK	United Kingdom
US	United States
SMD	Standardised Mean Difference
WDI	World Development Indicators

List of figures

Figure 3.1. The financialisation of policymaking theoretical framework	5
Figure 4.1. Theoretical framework	9
Figure 5.1. Gini coefficient (in %): UK vs donor pool countries (1970-2000)	11
Figure 5.2. Study design directed acyclic graph (DAG).....	14
Figure 6.1. Gini coefficient trends: UK vs synthetic UK	18
Figure 6.2. Gini coefficient treatment effects: UK vs synthetic UK	19
Figure 6.3. Weighted donor countries posttreatment Gini trends	19
Figure 6.4. In-space placebo test	20
Figure 6.5. In-time placebo test (1983).....	21
Figure 6.6. Leave-one-out robustness test	22
Figure 7.1. UK Lorenz curves (disposable income): pre vs post Big Bang	23
Figure 7.2. UK generalised Lorenz curves (disposable income): pre vs post Big Bang	23
Figure 7.3. Gini coefficient ranking (1-17): UK vs donor pool countries (1971-2000).....	24
Figure 7.4. UK net personal wealth CAGR by percentile (%)	25
Figure 7.5. Change in relative disposable income per head: pre vs post Big Bang (in pp)	26
Figure 7.6. Change in relative contribution to UK growth: pre vs post Big Bang (in pp)	26
Figure 7.7. UK regional Gini index for total wealth, 2018 (in %).....	27
Figure 7.8. UK regional GDP compound annual growth rate, 1998-2023 (in %)	27

List of tables

Table 5.1. Working dataset country sample	15
Table 6.1. Optimal synthetic control weights for the UK	17
Table 6.2. SCM estimates and p-value statistics	21
Table 10.1. Key financial deregulations in donor pool countries	37
Table 10.2. Summary of empirical studies of the effects of inequality on growth.....	38
Table 10.3. Description of predictor variables	39
Table 10.4. Working dataset descriptive statistics	39
Table 10.5. Covariate balance, values and bias in pretreatment periods	40

1. Introduction

On 27th October 1986, the London Stock Exchange (LSE) transitioned from its historic floor-based trading system to a screen-based system, removed price rigidities in securities transactions and dismantled almost all barriers to entry onto the Exchange. Known as the ‘Big Bang’, this ‘City Revolution’ was a series of reforms introduced by the Conservative Thatcher government to eradicate perceived anticompetitive practices in financial markets and re-establish the City of London as a leading global financial centre (Bellringer and Michie 2014; Davies and Richardson 2010). By 2008, the financial sector’s GVA represented close to 9% of Britain’s GDP, making the UK’s financial centre the largest in the Group of Seven (G7) as a share of total output, ahead of the United States (OECD 2024b).

Since then, Britain’s economy has undergone significant ‘financialisation’. This process is defined as a ‘structural transformation of contemporary capitalism’ driven by a ‘new regime of accumulation’ that exponentially derives profits from financial channels rather than the trade and commodity economy (van der Zwan 2014, 102; Krippner 2005, 174). Fundamentally, growth has been increasingly driven by returns on financial assets rather than the production of goods or services, progressively shifting capital flows away from the productive economy and towards financial rents (van der Zwan 2014).

While private-sector ‘financialisation’ has been extensively studied, particularly following the 2007 Global Financial Crisis (GFC), less attention has been given to the ‘penetration of financialised logics and evaluation’ into the formulation of public policies (Erturk et al. 2007; Chiapello 2017, 27). In fact, the dynamics of policymaking have evolved along with financialisation, triggering a radical economic shift away from the post-war social-democratic compromise towards greater financial deregulation. This process is known as ‘State-led financialisation’, or ‘financialised policymaking’ (Karwowski 2019; Copley 2021a).

In this respect, Britain’s 1986 Big Bang has long been presented as a crucial stepping stone in the globalisation of financial markets, with the State portrayed as a mere facilitator of financial sector expansion. However, recent research has reinterpreted the role of the State as an integral actor in the Big Bang, as policymakers held strong interests in deregulating the LSE to support the issuance of British sovereign debt (Dutta 2018). Both the Conservative and New Labour governments are shown to have been active participants in the rapid deregulation of financial markets, at a pace unmatched by any G7 peer at the time (Davis and Walsh 2016).

While the deregulation of Britain’s financial sector has long been praised for its success in times of high inflation and stagnating economic growth, increasing attention has been given to the broader implications of financialisation on economic and social welfare (Christopherson, Martin, and Pollard 2013). In particular, scholarly research suggests that beyond a certain point, financial development can hinder economic growth by heightening financial instability, increasing inequalities and contributing to the misallocation of human capital (Cecchetti and Kharroubi 2015; Arcand, Berkes, and Panizza 2012). By the 2007-08 Global Financial Crisis (GFC), Britain had become one of the most unequal industrialised economies in the world in terms of GDP per capita, productivity and income (McCann and Vorley 2020). Accordingly, scholars have suggested that

Britain's economy may be 'overly financialised' (Mazzucato 2014; Christensen, Shaxson, and Wigan 2016). Thus, the role that financial regulation plays in supporting the real economy is currently widely debated among policymakers.

While financial deregulation seems to have enabled strong financial sector growth, there are increasing concerns over the effects of financialisation on inequalities and how this affects long-term economic development. The objective of this research is to assess the effects of the 1986 Big Bang as the starting shock in financialised policymaking on inequality gains in Britain, and its implications for the broader economy. This study seeks to answer the following research questions.

Q1: What are the causal effects of the 1986 Big Bang as a prime example of financialised policymaking on the evolution of standards of living, income and wealth inequalities in the UK?

Q2: Is Britain's long-run economic slowdown attributable to the State-led inequality gains caused by the Big Bang?

Overall, this study intends to contribute to the existing literature by providing a fresh perspective on the causal effects of the Big Bang on long-run inequality and economic welfare. Using state-of-the-art empirical methods and data, I present novel insights to bridge the 'financialisation of the State' and financial deregulation literatures.

The remainder of this study is structured as follows. Section 2 delves into the policy problem posed by the Big Bang, while Section 3 reviews the existing literature on financial deregulation and its effects on inequality and growth. Section 4 elucidates this research's theoretical framework and contribution to the literature. Section 5 presents the synthetic controls methodology employed. Section 6 presents the results of this analysis, which Section 7 discusses in further detail. Finally, Section 8 concludes this study and delivers policy implications.

2. Policy problem: Britain's 1986 Big Bang

The 'Big Bang' refers to a series of reforms enacted on 27th October 1986 that drastically liberalised the London Stock Exchange. The reforms scrapped the old floor-based trading system, abandoned monopolistic fixed commissions on securities trading, and removed most barriers to entry for foreign firms (Plender 1986; Davies and Richardson 2010). The Big Bang also eliminated the single capacity system, which historically separated the roles of brokers (who bought and sold bonds to non-members of the LSE in exchange for a commission) and jobbers (who quoted the market price of securities) (Bellringer and Michie 2014).

Primary literature from 1986 reveals contrasting perceptions of the Big Bang. While the British press described this 'major reform' as 'The City Revolution', some American outlets stated that 'unlike the event that started the universe, the UK's Big Bang is more evolution than explosion' (Bank of England 1987; O'Connor 1986; Financial Times 1986). This is because preparations for the Big Bang effectively started in 1983, when the LSE reached an agreement with the Thatcher government to implement a series of fundamental changes to its rules by October 1986 to comply with the 1973 Fair Trading Act (Copley 2021c).

However, despite the gradual political construction of the LSE's liberalisation, its enactment was truly abrupt and radical. While all industrialised economies liberalised their financial markets and dismantled restrictions from the early 1970s, these deregulations were mostly gradual and implemented incrementally over several decades (Williamson and Mahar 1998). The singularity of Britain's financial deregulation lies in the speed and scale of regulatory change, with Big Bang reforms occurring virtually overnight (Tanndal and Waldenström 2018). A summary of major gradual deregulation policies in peer high-income countries is presented in Table 10.1 (Annexe 1).

The immediate effects of the Big Bang were substantial. First, the reforms eliminated the LSE's restrictive practices and opened it to new members, facilitating the entry of foreign firms. This led to a surge in competition and a 30% drop in transaction costs for large trades between 1986 and 1987 (Copley 2021c). Second, the Big Bang substantially increased the volume of trading on the LSE, quadrupling the average daily turnover of UK equities from £500 million in 1986 to £2 billion in 1995 (Laurence 2001). These reforms also facilitated the growth of cross-border securities trading, positioning the City of London as a global financial hub (Bellringer and Michie 2014). Finally, the Big Bang contributed to the strong growth of Britain's financial sector, reaching close to 9% of total GDP in 2007, making it the fifth-largest industry in the UK as a share of total gross value added (ONS 2024).

Scholars have since framed the 1986 Big Bang as an 'archetypal case of State propulsion of financialisation' (Copley 2021c). Indeed, domestic State interests were central to the Big Bang as the LSE is the principal market for UK government bonds, or gilts. By the 1980s, the State's increasing debt issues incentivised policymakers to revise the LSE's membership and trading rules to expand the size and liquidity of the market for UK sovereign debt, mainly purchased by pension, insurance, and investment funds (Dutta 2018, 4; Copley 2021c, 112). As such, successive British governments are shown to have played a much more active role in the deregulation and financialisation of the UK economy than previously acknowledged, much faster than any other

G7 economy at the time (Davis and Walsh 2016). The ‘Treasury view’ shared by HM Treasury, the Bank of England, and City of London staff opposed extensive state intervention and large public industries, favoured free trade and international markets, and supported the growth of UK financial services (Macpherson 2014; Davis and Walsh 2016).

Today, Britain suffers from a profound growth problem. The OECD has recently projected the UK to be the ‘worst-performing G7 economy’ in 2025, marking the culmination of decades of slow investment and productivity growth (OECD 2024a; Fitzgerald 2024). In real terms, mean GDP per capita in Britain was lower in 2022 than in 2008, the largest output per capita deterioration among G7 peers since the GFC (Ridpath 2024). Simultaneously, a growing body of evidence points towards high inequality having a considerably negative effect on long-run economic growth (Alesina and Rodrik 1994; Perelman 2008). A pressing question thus arises: to what extent is the vast slowdown in living standards growth attributable to Britain’s path of financial deregulation?

This is a crucial question from a policy perspective, as UK Chancellor Rachel Reeves has called for reforms to the financial services sector to help drive growth (HM Treasury 2024a; 2024b). In her Spring 2025 Statement, the Chancellor expressed the need for a ‘mindset shift on regulation’, stating that ‘every regulator has to play a part by tearing down the regulatory barriers that hold back growth’ (Brenton 2025; HM Treasury 2025). A group of fifty economists and policy experts, including Nobel laureate Joseph Stiglitz, responded to the Chancellor’s plans in an open letter, highlighting the risks that further financial deregulation could pose to the larger economy. They argue that it is not financial sector growth in itself that matters, but rather its ability to support the wider economy (Delaney et al. 2025; Stewart 2024). As such, this study aims to assess how financial deregulation in the UK has affected inequalities and whether financial sector-driven growth truly benefits the broader economy.

3. Literature review

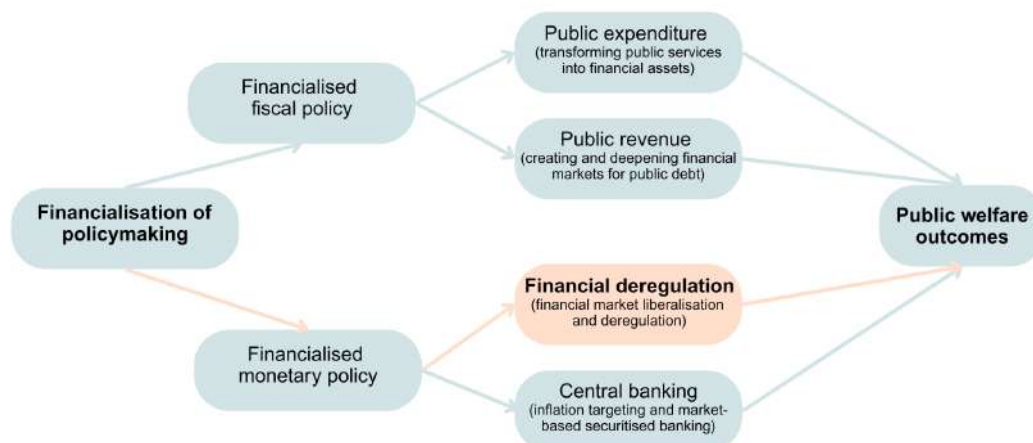
3.1. The financialisation of the State theory

Britain's 1986 Big Bang has been described as a prime example of financialised policymaking, driven by policymakers' strong interests in expanding the market for UK gilts to support the issuance of sovereign debt. The concept of 'financialisation' has gained popularity since the Global Financial Crisis, despite critics that it is an overarching and vague concept (Aalbers 2019). Epstein's (2005) definition of financialisation as 'the increasing role of financial motives, markets, actors and institutions in the operations of the domestic and international economies' is the most widely adopted. The literature identifies three main drivers of financialisation (van der Zwan 2014).

First, financialisation is based on a new regime of accumulation, exponentially deriving profits from financial services and shifting capital flows away from the productive economy (Edelstein 1976; Eckert 2008). Second, 'performance-based executive compensation' has increasingly aligned manager and corporate interests, shifting capital gains towards shareholder value maximisation (Lazonick and O'Sullivan 2000; Boyer 2005). Finally, financialisation has permeated the everyday lives of citizens through 'popular finance' and a growing self-fulfilment discourse, pushing citizens to become 'investing subjects', cultivating 'economic citizenship' and individual insurance in the context of retreating welfare States (Cutler and Waine 2001; Aitken 2007; Langley 2009).

While private-sector financialisation has been extensively studied, public-sector financialisation remains underexplored and is often implicitly assumed (Karwowski 2019). The literature distinguishes four main mechanisms of State-led financialisation: the transformation of public services into financial assets (fiscal policy expenditure), the creation and deepening of financial markets for public debt (fiscal policy revenue), central bank inflation-targeting and market-based securities trading (monetary policy central banking), and finally financial market liberalisation (monetary policy financial deregulation) (Figure 3.1) (Karwowski 2019). The remainder of this study focuses on the financial deregulation path (orange nodes in Figure 3.1).

Figure 3.1. The financialisation of policymaking theoretical framework



Note: Orange nodes represent the causal path explored in this study. Blue nodes represent all other paths exposed in the literature.

Source: Own elaboration, based on Karwowski 2019.

Overall, the State financialisation theory contrasts with the previous literature in that it identifies financialisation not as a mere market-led process, but as the voluntary result of public policymaking. This theory has been identified as a crucial yet insufficient area of research (Krippner 2005; Stockhammer 2013; van der Zwan 2014; Davis and Walsh 2016; Aalbers 2019; Karwowski 2019; Schwan, Trampusch, and Fastenrath 2021).

3.2. The financial deregulation and inequality nexus

A growing body of research has explored the link between financial deregulation and inequality, building on several interconnected mechanisms.

First, the literature distinguishes two opposing effects of financial deregulation on inequality. At the extensive margin (i.e. access to financial markets), financial deregulation increases the availability of financial services to individuals previously excluded from financial markets, for instance, due to price constraints (Greenwood and Jovanovic 1990). This develops economic opportunities for those previously excluded from financial services, reducing inequalities. Conversely, at the intensive margin (i.e. rates of returns from financial services), financial deregulation enhances financial returns for those already participating in financial markets, who are disproportionately top income earners, thereby increasing inequalities (Demirgüç-Kunt and Levine 2009).

Using the synthetic controls method, Tanndal and Waldenström (2018) find that financial deregulation in the UK increased the top percentile income share by approximately 20% relative to a scenario where the Big Bang had not occurred. This confirms previous findings that financial deregulation boosts wage earnings for financial sector employees, who are disproportionately represented at the top of the income distribution (Philippon and Reshef 2013; Boustanifar, Grant, and Reshef 2016; Bell and Van Reenen 2013). Indeed, Delestre et al. (2024) find that the UK's financial sector employment distribution is the most extreme among European economies. While financial services employ around 3% of the UK population, they employ 29% of the top 1% and 44% of the top 0.1% of the income distribution (Haffert, Hope, and Limberg 2024).

Furthermore, financial deregulation has affected inequality through the financialisation of welfare. Marking a departure from the post-war Beveridge model of social democracy, this shift aimed to safeguard the political legitimacy of policymakers amid the socioeconomic crises of the 1980s (Copley 2021b). This facilitated the rise of privatised welfare services (e.g. the 1992 Private Finance Initiative outsourced some public services such as hospitals), asset-based welfare (e.g. the 1980 Right to Buy scheme shifted housing provision from public to mortgage finance), and individualised financial products (e.g. student loans gradually replaced government grants in higher education). More recently, social impact bonds have introduced risk, return and efficiency metrics into welfare provision, incentivising cost-cutting measures that further exacerbate inequality (Barman 2015).

In this respect, financial deregulation catalysed Britain's transition from industrial to financial capitalism, transferring economic and negotiating power from the industrial to the financial sector

(Flamencourt 2024; Aglietta 2017). This reorientation has prioritised the interests of financial elites over industrial or civil society actors, accelerated income transfers from the real sector to the financial sector, and deepened wealth and income inequalities (Palley 2007; Zalewski and Whalen 2010). For instance, Power and Epstein (2002) report that financial profits rose from around 15% of total profits in the 1960s to 30% during the 1980s-90s in OECD countries.

Overall, these developments underpin a new model of State intervention. Often described as ‘privatised Keynesianism’, this regime encourages individuals to take on debt to stimulate economic growth in place of direct government spending (Crouch 2009; Flamencourt 2024). Accordingly, Perelman (2008, 45) argues that ‘nothing has contributed to imbalances in the economy so much as the outlandish expansion of financialisation’.

3.3. Measuring inequality: the Gini coefficient

Social scientists have developed various statistical measures to measure inequality. These include the S80/S20 ratio (richest 20% versus poorest 20%), the P90/P10 ratio (90th percentile versus 10th percentile), and the Palma ratio (richest 10% versus poorest 40%). The Gini coefficient, developed by Italian statistician Corrado Gini and based on the earlier ‘Lorenz curve’ by American economist Max O. Lorenz, remains the most widely used today (Ceriani and Verme 2012).

The Gini coefficient offers many advantages. First, it is normatively neutral, meaning it quantifies inequality without adopting a specific ethical stance, unlike Rawlsian or utilitarian social welfare functions. Second, it provides a single, easily interpretable summary statistic of income dispersion, facilitating in-time and in-space comparisons (Farris 2010). Third, it captures changes across the entire income distribution, unlike income shares that focus on the extremes. Finally, its scale ranges from 0% (perfect equality) to 100% (perfect inequality), enabling straightforward cross-country comparisons (Charles, Gherman, and Paliza 2022).

However, the Gini coefficient has several limitations. First, it compresses the entire distribution into a single value, which means that two different Lorenz curves can yield the same Gini coefficient. Thus, it is particularly sensitive to changes in the middle of the distribution, potentially overlooking shifts at the extremes (Osberg 2017). Second, the Gini index is a relative measure, meaning it can rise while absolute poverty falls. In this case, everyone is getting richer, but not at the same pace (World Bank Data 2025). Finally, as income distributions are unique to subgroups, the Gini index is not additive across income or regional groups (Pyatt 1976; World Bank Data 2025).

3.4. The transmission effects of inequality on growth

The relationship between inequality and economic growth is well established, although scholars remain divided on whether causal effects are positive or negative (Ferreira, Gisselquist, and Tarp 2022; Mdingi and Ho 2021).

In the 1950s and 1960s, the classical school argued that inequality positively affects growth through higher savings among high-income earners, leading to higher investment, along with incentive

effects, as inequality may incentivise competition, rewards and innovation (Aghion, Caroli, and Garcia-Penalosa 1999; Kaldor 1955). Recent empirical analyses further identify positive causal effects between inequality and economic growth from the 1960s to the early 2010s (Forbes 2000; Scholl and Klasen 2018; Li and Zou 1998).

Conversely, recent research has highlighted that inequality can hinder economic development by reducing human capital investment and maintaining high fertility rates among poor households, depressing average educational levels and economic growth (De la Croix and Doepke 2003; Galor and Zeira 1993). Additionally, higher inequality correlates with increased redistributive taxes, which reduce incentives for productive accumulation and private investment, thereby slowing economic growth (Alesina and Rodrik 1994; Persson and Tabellini 1994; Perotti 1996; Cingano 2014). Furthermore, inequality affects the structure of demand by limiting the market for manufactured goods, potentially depleting long-run innovation-driven growth (Zweimüller 2000). Higher inequality has also been shown to hinder growth through social unrest and political violence, discouraging productive investment (Alesina and Perotti 1996).

Finally, some studies suggest that the effects of inequality on economic growth cannot be generalised and must be differentiated by short-term versus long-term effects (Halter, Oechslin, and Zweimüller 2014; Ostry, Berg, and Tsangarides 2014) or lower versus upper deciles of the income distribution (Voitchovsky 2005; Barro 2000).

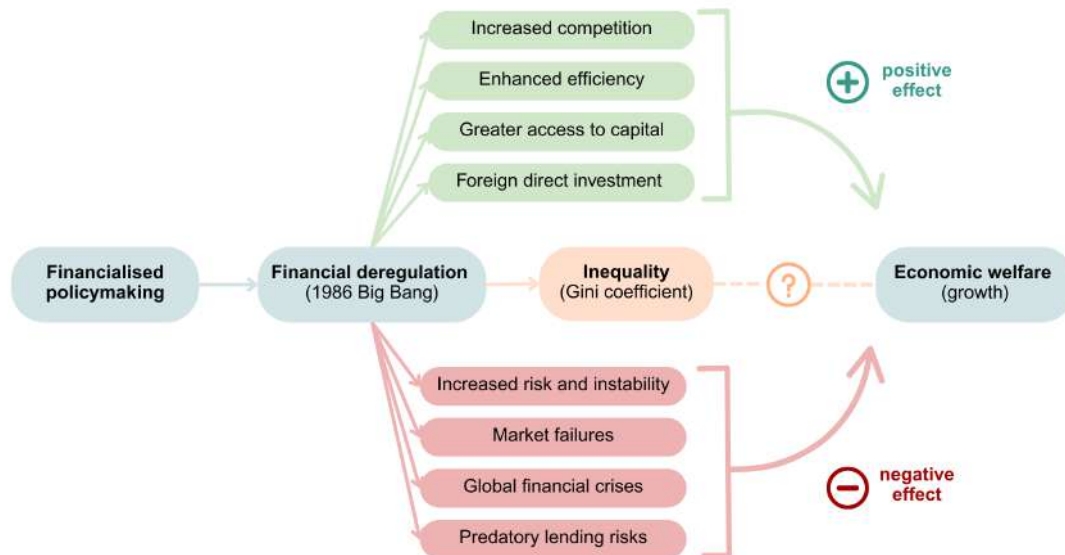
Overall, there does not appear to be a clear one-way relationship between inequality and growth. This largely depends on time, country and context-specific factors, along with potential reverse causality. A summary table of the empirical studies on this relationship is presented in Table 10.2 (Annexe 1).

4. Theoretical framework

4.1. Research framework and hypotheses

This study aims to assess the effects of financial deregulation as a prime example of financialised policymaking on inequality and economic welfare. As discussed in the previous section, the literature identifies contradicting effects of financial deregulation on growth. On the one hand, financial deregulation increases competition, enhances efficiency, and supports access to capital and foreign direct investments, stimulating growth. On the other hand, financial deregulation may impose increased risk and instability on the financial system, create market failures (such as monopoly power), increase the likelihood of global financial crises, and lead to consumer protection risks such as predatory lending, hampering growth (Copley 2021c). Finally, financial deregulation can affect economic welfare through inequality gains. This is the causal path explored in this study (orange nodes in Figure 4.1).

Figure 4.1. Theoretical framework



Note: Blue nodes represent the theoretical framework underlying this study. Orange nodes represent the causal path explored in the following sections.

Source: Own elaboration.

To assess the effects of financial deregulation on inequality, this study closely builds on Tanndal and Waldenström (2018), who analyse the impact of financial market deregulation on top income shares in Britain and Japan. Although many other high-income countries liberalised financial markets during this period (see Table 10.1 in Annexe 1), the UK's Big Bang is unique in its abruptness and suddenness, making it a quasi-natural experiment. Therefore, I analyse the treatment effects of the Big Bang on inequality relative to a more gradual process of financial deregulation. Accordingly, I formalise the following research hypotheses.

H1: Britain's 1986 Big Bang caused a surge in aggregate living standards inequality, relative to a scenario of incremental financial deregulation as experienced in peer countries.

H2: Britain’s long-run economic slowdown is partly attributable to the State-led inequality gains caused by the Big Bang.

I expect to find positive results for the first hypothesis and mixed results for the second, as the existing literature has reached no clear consensus on how inequality affects growth. I test the first hypothesis using causal inference, while the second relies on correlational evidence.

4.2. Research contribution

While the existing literature has effectively conceptualised the role of the State in enabling financial deregulation (Dutta 2018; Davis and Walsh 2016), less attention has been given to how financialised policymaking affects economic welfare outcomes (Chiapello 2017; Amable et al. 2019). Additionally, although empirical research has identified the causal effects of Britain’s Big Bang on top income shares, its effects on aggregate inequality levels and the larger welfare implications of this remain understudied (Tanndal and Waldenström 2018).

Thus, this study intends to contribute to the existing literature by providing a fresh perspective on the causal effects of the Big Bang on long-run inequality gains and economic welfare in the UK. Using state-of-the-art empirical methods and data, I present novel insights to bridge the ‘financialisation of the State’ and financial deregulation literatures.

This study differentiates from the existing literature in one major way. While Tanndal and Waldenström (2018) assess the effects of Big Bang reforms on top income shares, this study focuses on living standards inequality. The rationale behind this is twofold. First, while studying top income shares may inform top income taxation policies, it does not shed light on structural economic disparities in the larger income distribution. Second, aggregate inequality levels offer deeper insights into structural disparities in resource allocation or misallocation, a crucial indicator of economic resilience and growth, on which the effects of inequality have been extensively studied (see Section 3.4). Thus, studying the effects of financialised policymaking on inequality serves important policy implications toward the UK’s current growth crisis.

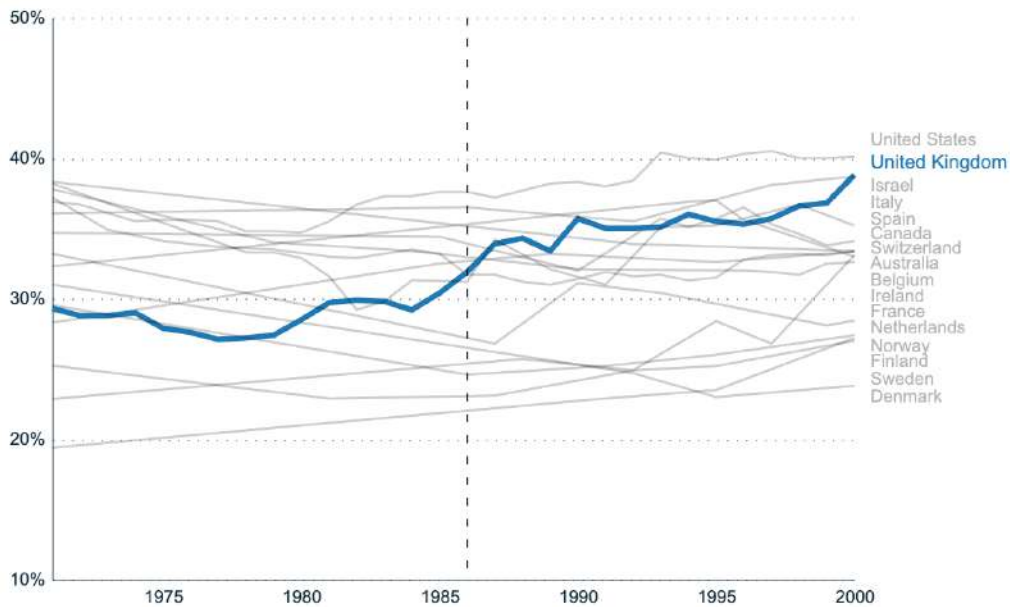
Furthermore, while Tanndal and Waldenström (2018) run analyses on inequality rates, this is presented as supplementary evidence for their hypothesis rather than a true empirical study, and no robustness tests are conducted. Additionally, the inequality data they use is based on household income distributions (Solt 2020). However, consumption distributions are widely considered a better measure of welfare. This is because consumption data is more stable and less prone to underreporting, whereas income data may fluctuate significantly due to temporary changes in employment status. Income measures may also miss non-monetary benefits and informal exchanges captured in consumption data (Meyer and Sullivan 2003). Thus, the consumption-based Gini index used in this analysis is considered a more consistent measure of inequality than previous analyses (World Bank Data 2025).

5. Methodology

5.1. Motivation for using the synthetic control method

This study assesses the impact of Britain's 1986 Big Bang as a policy shock of State-led financial deregulation on living standards inequality measured by the Gini coefficient of consumption distributions. Given the historical nature of this event, any identification design can only be quasi-experimental. Figure 5.1 presents the evolution of the Gini index in the UK and in a set of peer high-income countries, referred to as the 'donor pool'. This study aims to assess the treatment effects of the Big Bang (dashed line on Figure 5.1) relative to untreated control countries.

Figure 5.1. Gini coefficient (in %): UK vs donor pool countries (1970-2000)



Note: A Gini index of 0 represents perfect equality, while 100 implies perfect inequality. Some countries exhibit linear interpolation between data points for certain years due to missing data (see Section 5.4). The dashed vertical line represents the 1986 Big Bang.

Source: Own elaboration.

One approach would be to run a simple cross-country panel regression estimating the effects of Britain's Big Bang on the Gini index, using several control variables. However, this method is flawed since there is a single treatment unit (the UK), and pre-treatment characteristics largely differ among controls (peer countries). Thus, the key challenge in this analysis is to find a valid counterfactual for the UK.

A second, more informed strategy would be to run a difference-in-differences estimate, computing the change in outcomes (Gini coefficient) in the treatment group (Britain), and comparing it to the change in outcomes in a well-selected control group (one or many untreated peer countries). However, the key 'parallel trends assumption' requires that both treatment and control groups develop in the same way in the absence of treatment. In cross-country studies, this assumption is hardly verifiable, as seen visually in Figure 5.1. Another more important concern is that standard errors (even clustered) are biased downwards in difference-in-difference settings with a single

treatment unit, which may produce spuriously statistically significant results (Conley and Taber 2011).

To overcome these challenges, I use the synthetic control method (SCM) developed by Abadie, Diamond, and Hainmueller (2010), which enables causal inference in panel data with a single treatment unit. This method is widely regarded as one of the most important innovations in policy evaluation design in recent decades (Athey and Imbens 2017). The SCM constructs a synthetic counterfactual for the treated unit using a linear combination of control units. Intuitively, this creates a ‘doppelgänger’ version of Britain, an artificial UK that did not experience the Big Bang. This synthetic UK is a far more credible counterfactual than any single country comparator, as the key parallel trends assumption holds. Estimated treatment effects are calculated by the difference between observed and synthetic outcomes. This is the most relevant method to date to tackle this research question.

5.2. Research design

Following Abadie, Diamond, and Hainmueller (2010), consider a sample with $N + 1$ units, where $i = 1$ is the treated unit (Britain, exposed to the Big Bang) and all other units $i = 2, \dots, N + 1$ are the control units forming the donor pool (peer countries, unexposed to the shock). Let Y_{it} be the outcome of interest (Gini coefficient) for unit i in period t , expressed as:

$$Y_{it} = Y_{it}^1 D_{it} + Y_{it}^0 (1 - D_{it}) = Y_{it}^0 + \Delta_{it} D_{it} \quad (1)$$

Where Y_{it}^1 and Y_{it}^0 are the outcomes of unit i in period t with and without treatment, respectively, and D_{it} is a binary marker of treatment, such that $D_{it} = 1$ if unit i is treated in period t and $D_{it} = 0$ otherwise.

Now, let $W = (w_2, \dots, w_{N+1})$ be a column vector of non-negative weights of donor countries that sum to one, such that $0 < w_i < 1$ and $\sum_{i=2}^{N+1} w_i = 1$. Then, the optimal synthetic control W^* that represents the weighted combination of donor units and covariates which best approximates the treated unit’s pretreatment characteristics is obtained by minimising the following objective function.

$$\sum_{m=1}^k v_m (X_{1m} - X_{0m} W)^2 \quad (2)$$

Where $m = 1, \dots, k$ indexes all predictor variables, X_{1m} and X_{0m} contain the m^{th} pretreatment predictor of treated and donor units, respectively, and v_m contains the relative weight of the m^{th} pretreatment predictor, i.e. its importance in the synthetic control.

Then, following Abadie, Diamond, and Hainmueller (2015), the optimal matrix of predictor weights V^* is selected such that the resulting synthetic control minimises the root mean squared prediction error (RMSPE) of the outcome variable (Gini coefficient) over the pretreatment period.

This cross-validation technique sets the weights v_m to minimise prediction error. The corresponding treatment effects Δ_{it} are the difference between treated (actual UK) and control (synthetic UK) outcome values in the posttreatment period, estimated as follows.

$$\Delta_{it} = Y_{it}^1 - Y_{it}^0 = Y_{1t} - \sum_{i=2}^{N+1} w_i^* Y_{it} \quad (3)$$

Finally, evaluating the statistical significance of SCM treatment effects relies on a series of placebo and robustness tests, exposed in Section 6.

5.3. Data collection

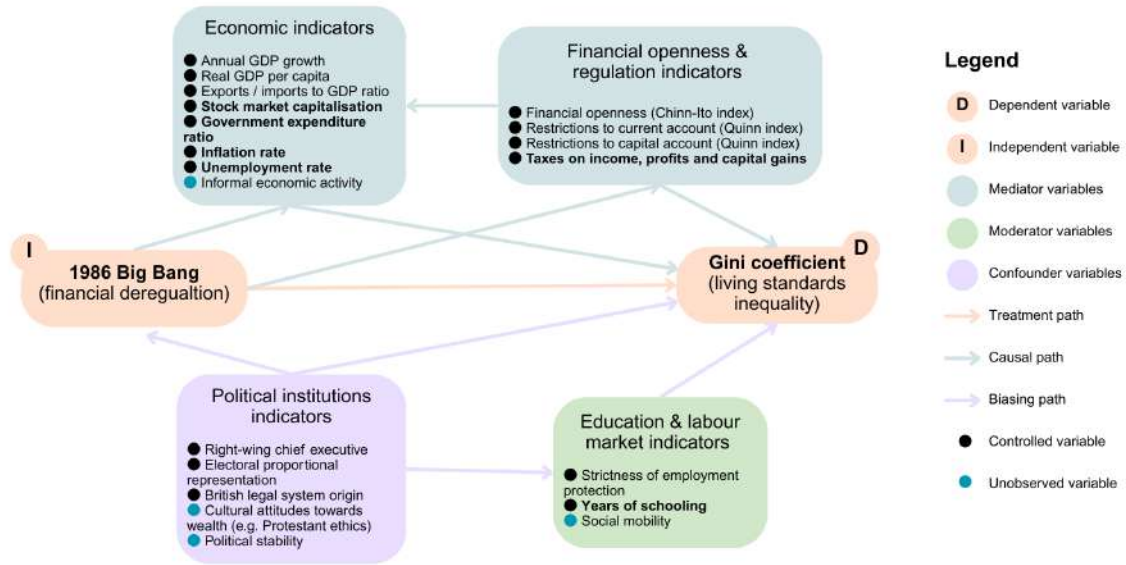
Financial deregulation modelled by the 1986 Big Bang is the independent variable. Living standards inequality, measured by the Gini index of consumption distributions, is the dependent variable. To isolate the causal path between these two variables, a series of covariates must be chosen to match the treated unit with a combination of control units with similar pretreatment characteristics. I select predictors by building on and refining the approach by Tanndal and Waldenström (2018).

First, I group the covariates chosen by Tanndal and Waldenström (2018) into four subgroups: economic indicators, financial openness and regulation indicators, political institutions indicators, and education and labour market indicators. Then, I construct a directed acyclic graph (DAG) to understand causal pathways and potential confounders (Figure 5.2). Mediator and moderator variables must be included as covariates to ensure similarity of the synthetic UK, while confounder variables must be included to eliminate treatment bias.

Second, I enhance Tanndal and Waldenström's (2018) specification by including additional predictors to minimise omitted variable bias. These include stock market capitalisation, government expenditure ratio, inflation rate, unemployment rate, taxation of income, profits and capital gains, and years of schooling (bolded on Figure 5.2). To avoid excessive loss in degrees of freedom, the SCM algorithm chooses the optimal covariate weights, assigning null weights to some. As such, adding predictors can only make estimates more precise.

Finally, some unobservable characteristics may still influence the causal pathway (bulleted in blue on Figure 5.2). Following Abadie, Diamond, and Hainmueller (2010), I include the lagged outcome variable (Gini coefficient) for pretreatment years 1974, 1979 and 1984 as additional covariates. This approach addresses potential omitted variable bias by accounting for the effects of any observed or unobserved predictors, whether explicitly included in the model or not.

Figure 5.2. Study design directed acyclic graph (DAG)



Note: Bolded variables are additional covariates, improving the design by Tanndal and Waldenström (2018).

Source: Own elaboration.

Data is collected from the World Development Indicators (World Bank Data 2023), Global Financial Development Database (World Bank 2022), Database of Political Institutions (World Bank 2023), Indicators of Employment Protection (OECD 2023), Chinn-Ito Index Database (Chinn and Ito 2008), and Economic Openness Database (Quinn and Toyoda 2008; Gräbner et al. 2021; La Porta et al. 1997). A descriptive table of predictor variables and their sources is presented in Table 10.3 (Annexe 2).

5.4. Data sampling and sorting

This section outlines the construction of the donor pool. I begin by identifying the relevant pool of countries to form the synthetic control. While Tanndal and Waldenström (2018) restrict their sample to OECD countries, I include all high-income countries as classified by the World Bank (2024), to maximise sample size.

To ensure sufficient pretreatment data coverage, I begin the sample in 1971, as earlier Gini data is sparse. A 15-year pretreatment window is considered adequate to construct a valid counterfactual (Abadie, Diamond, and Hainmueller 2010). I end the posttreatment period in 2000 to avoid confounding treatment effects from later events, and particularly the financial crises of the late 2000s, consistent with Tanndal and Waldenström (2018).

Next, I exclude countries exposed to confounding policy shocks, as donor pool countries must not have received treatment. Following Tanndal and Waldenström (2018), I exclude the United States due to the 1986 Tax Reform Act occurring the same year as the Big Bang, which significantly reduced top income tax rates, thus impacting inequality. This exclusion prevents conflating the effects of the Big Bang with those of unrelated policy reforms.

The SCM algorithm requires a complete matrix of pretreatment observations. For this reason, I exclude countries with entirely missing Gini or predictor data from the donor pool. For countries with partial gaps in pretreatment predictors, I use linear interpolation to estimate missing values, consistent with Tanndal and Waldenström (2018). I also exclude Chile from the donor pool due to significant scale differences in pretreatment characteristics.

The resulting working dataset spans 39 years (1971-2010) and includes 15 countries, given in Table 5.1. Descriptive dataset statistics are provided in Table 10.4 (Annexe 2).

Table 5.1. Working dataset country sample

ID	Country name	ID	Country name	ID	Country name
1	Australia	6	France	11	Norway
2	Belgium	7	Ireland	12	Spain
3	Canada	8	Israel	13	Sweden
4	Denmark	9	Italy	14	Switzerland
5	Finland	10	Netherlands	15	United Kingdom

Source: Own elaboration.

5.5. Methodological limitations

SCM is the most advanced empirical method available to undertake this research, addressing major concerns arising from other econometric techniques in finding a valid counterfactual. However, several concerns remain valid.

First, SCM relies on a series of assumptions and research decisions, such as the number of pretreatment and posttreatment years, the composition of the donor pool, the selection and quality of covariates, and the method for assigning optimal covariate weights. Researchers have noted that SCM can be sensitive to small changes in these parameters (Firpo and Possebom 2018). I address these concerns as follows. Country and year samples are chosen to maximise the number of units and observations in the dataset, and no arbitrary cuts have been made. The choice of covariates builds on and refines Tanndal and Waldenström (2018). Finally, the assumptions behind the specification closely follow methodological advice by Abadie (2021).

Second, omitted variable bias could be a potential concern, as many other observable and unobservable variables could influence inequality levels. However, including lagged values of the outcome variable (i.e. the Gini coefficient) for pretreatment years helps mitigate this risk by capturing the influence of both observed and unobserved predictors, whether explicitly included in the model or not (Abadie, Diamond, and Hainmueller 2010). The only major concern would be the inclusion of ‘bad controls’, i.e. collider variables that are affected both by the treatment and the outcome, which are not present in this specification.

Third, interpolation bias may arise from estimating missing data points under the assumption of linearity. However, this is unlikely to significantly distort results in this setting, as the donor pool is restricted to high-income countries with broadly similar economic structures and characteristics.

Abadie, Diamond, and Hainmueller (2015) show that interpolation bias is mainly a concern when donor units differ substantially from the treated unit, which is not the case in this study.

Finally, SCM relies on the assumption of no interference, meaning there should be no spillover effects from the treatment to control countries. This assumption could be violated if the Big Bang influenced inequality in donor countries. For example, if the newly deregulated LSE disproportionately attracted foreign capital, the Big Bang may have indirectly increased inequalities in foreign countries, potentially contaminating the control group.

However, it is easy to evaluate both the existence and direction of potential spillovers due to the small number of donor countries. If the Big Bang had positive spillover effects on donor countries (increasing Gini inequality), then the synthetic UK's Gini coefficient would be overestimated, and treatment effects would thus be underestimated. Conversely, a scenario where the Big Bang had negative spillover effects (i.e. lowering inequality in control countries) is highly unlikely. Therefore, any spillovers could only underestimate treatment effects. This suggests that the true effects of financial deregulation on inequality are likely even greater than those found in this study. Note that spillovers affecting countries unweighted in the optimal synthetic control pose no issue since they do affect estimates.

6. Results

6.1. The synthetic UK

Using the previously described methodology, I construct a synthetic counterfactual version of Britain that closely mirrors its pretreatment characteristics. This allows for a credible comparison of posttreatment Gini outcomes following the Big Bang.

First, I use the cross-validation technique to set the optimal covariate weights to minimise the root mean squared prediction error (RMSPE) of the Gini coefficient over the pretreatment period. The algorithm assigns the largest covariate weights to the unemployment rate (36.7%), the 1984 lagged Gini coefficient (32.1%), the strictness of employment protection (10.7%), and the inflation rate (4.6%). The remaining covariates have small weights in the synthetic control (see Table 10.5 in Annexe 2). These results confirm that including additional covariates compared to Tanndal and Waldenström (2018) is relevant, as the explanatory power of the unemployment rate and inflation rate in predicting inequality outcomes appears substantial.

Next, the SCM algorithm assigns optimal weights to donor countries to match the UK's pretreatment Gini trend. The resulting synthetic UK is composed of 32.7% of Canada, 28% of Australia, 26.2% of Belgium, 12.7% of Finland, 3% of France and 1% of Sweden. All other donor pool countries receive null weights (Table 6.1).

Table 6.1. Optimal synthetic control weights for the UK

Country	Synthetic control weight (0-1)
Canada	0.327
Australia	0.280
Belgium	0.262
Finland	0.127
France	0.003
Sweden	0.001

Note: Weights from 0 to 1. Denmark, Ireland, Israel, Italy, Netherlands, Norway, Spain, and Switzerland receive zero weights.

Source: Own elaboration.

The resulting synthetic UK is a much more credible counterfactual than the simple average of the 14 donor pool countries, as pretreatment predictor values are significantly closer to those of the actual UK. This is confirmed by a lower standardised mean difference (SMD) for synthetic UK predictors than average predictors, which measures the amount of bias in the estimation. Most covariates fall below the 0.1 SMD threshold, which is considered an acceptable balance in studies with small sample size (see Table 10.5 in Annexe 2) (Hripcsak et al. 2025).

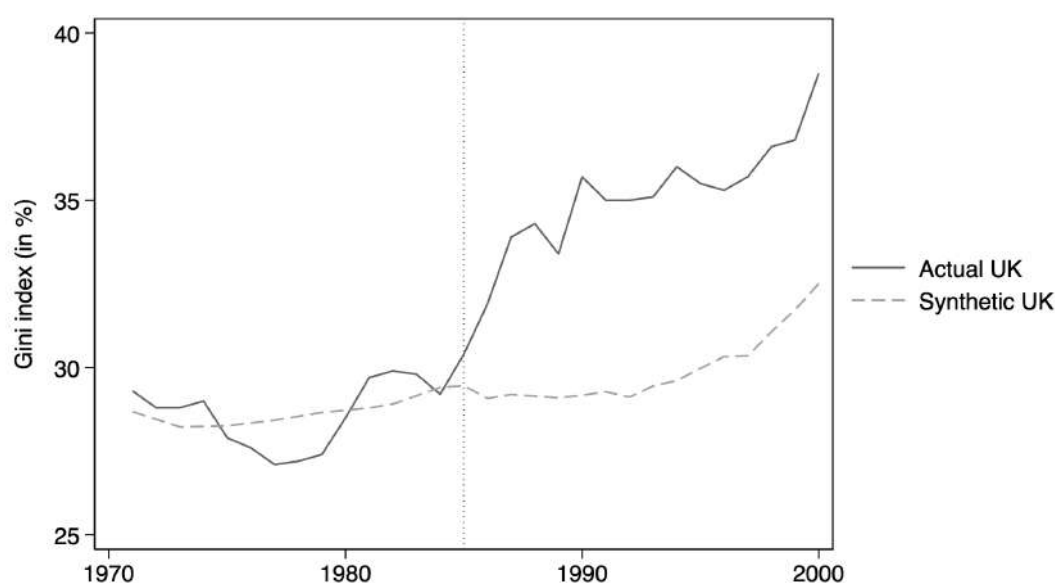
Finally, posttreatment Gini values for the synthetic UK are calculated as weighted averages of the Gini coefficients of weighted countries. For instance, the synthetic UK's Gini coefficient for the year 1986 is 32.7% that of Canada in 1986, 28% that of Australia, and so forth.

6.2. Treatment effects of the 1986 Big Bang

Figure 6.1 plots Gini coefficient trends for Britain and its synthetic counterfactual (i.e. a doppelgänger Britain unaffected by the Big Bang) from 1971 to 2000. The synthetic UK's goodness-of-fit over the pretreatment period is not perfect. This discrepancy may either be due to the donor pool being unable to fully replicate the pretreatment variation in Britain's Gini trend, which may be unique within the dataset, or imprecision caused by interpolated data. Nonetheless, the synthetic UK closely tracks the UK's overall Gini trend during the pretreatment period (1970-1986), which is most important for causal inference.

Following the Big Bang in 1986, the UK's Gini trend diverges sharply from its synthetic counterfactual, this gap increasing with time (Figure 6.1). The divergence seems to appear shortly before 1986, likely due to the counterfactual's imperfect goodness-of-fit. Another explanation could be anticipation effects, as plans for the Big Bang reforms were announced in 1983 (Bank of England 1987). Nonetheless, the post-1986 gap clearly indicates a substantial rise in inequality following the Big Bang, compared to a scenario where financial deregulation had not been so sudden.

Figure 6.1. Gini coefficient trends: UK vs synthetic UK

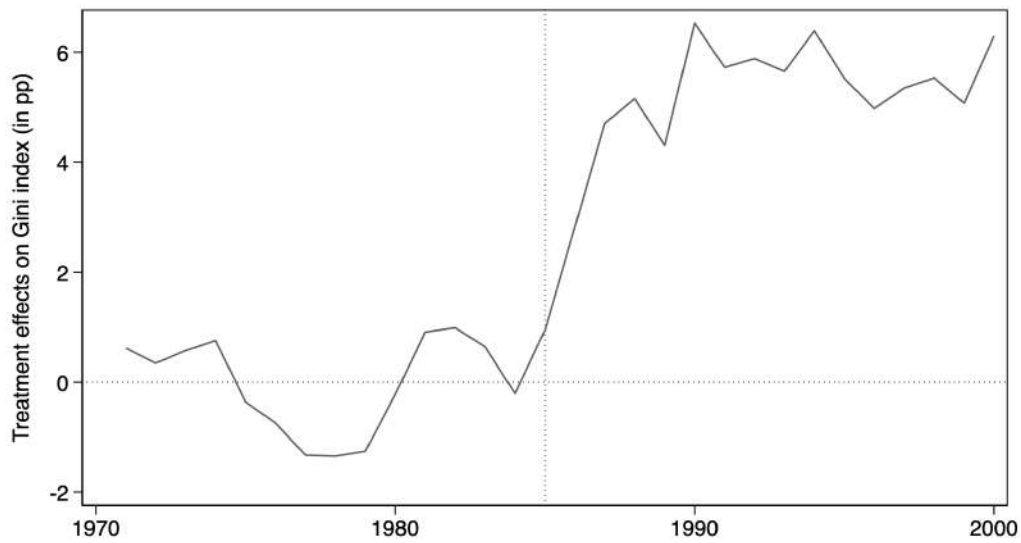


Note: The synthetic UK trend line displays the weighted average Gini values of selected donor countries.

Source: Own elaboration.

Figure 6.2 presents the estimated treatment effects of the Big Bang on Britain's Gini coefficient, which measures the difference between actual and synthetic UK outcomes. The results show a sustained and significant rise in Gini inequality. On average, the Gini coefficient rose by 5.326 percentage points over the entire posttreatment period. Inequality gains were particularly rapid between 1986 and 1990 and have since stabilised around 6 percentage points. These findings provide strong evidence that the 1986 Big Bang triggered a lasting rise in living standards inequality in Britain.

Figure 6.2. Gini coefficient treatment effects: UK vs synthetic UK

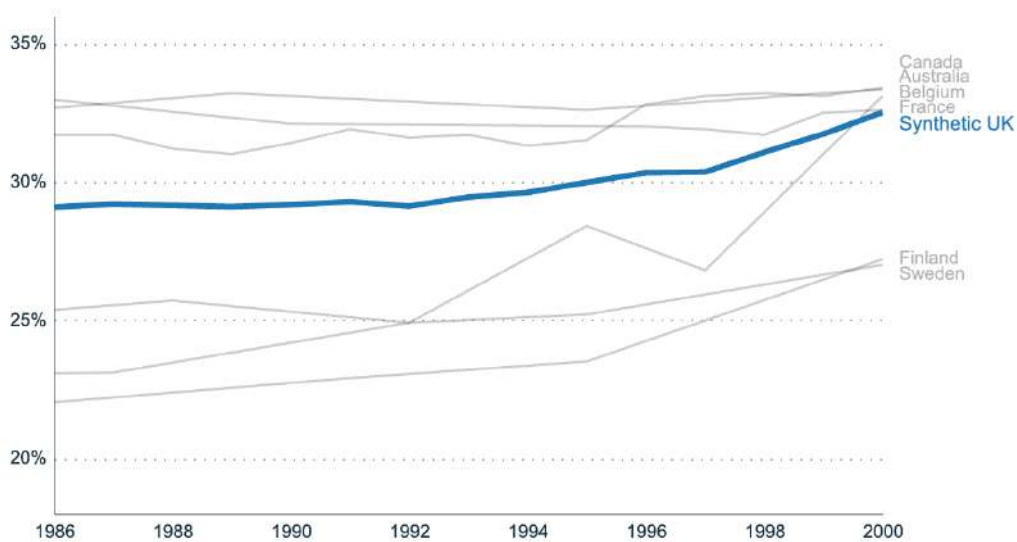


Note: Treatment effects are calculated as the difference between actual and synthetic UK Gini values.

Source: Own elaboration.

To better understand the composition of the synthetic UK and what is driving these results, Figure 6.3 disaggregates the Gini trends of weighted donor countries in the posttreatment period. The synthetic UK closely follows the Gini trends of Canada, Australia and Belgium, with Finland pulling the overall trend downwards. France and Sweden have negligible influence on the synthetic control due to their small weights.

Figure 6.3. Weighted donor countries posttreatment Gini trends



Note: The synthetic UK trend line displays the weighted average Gini values of selected donor countries.

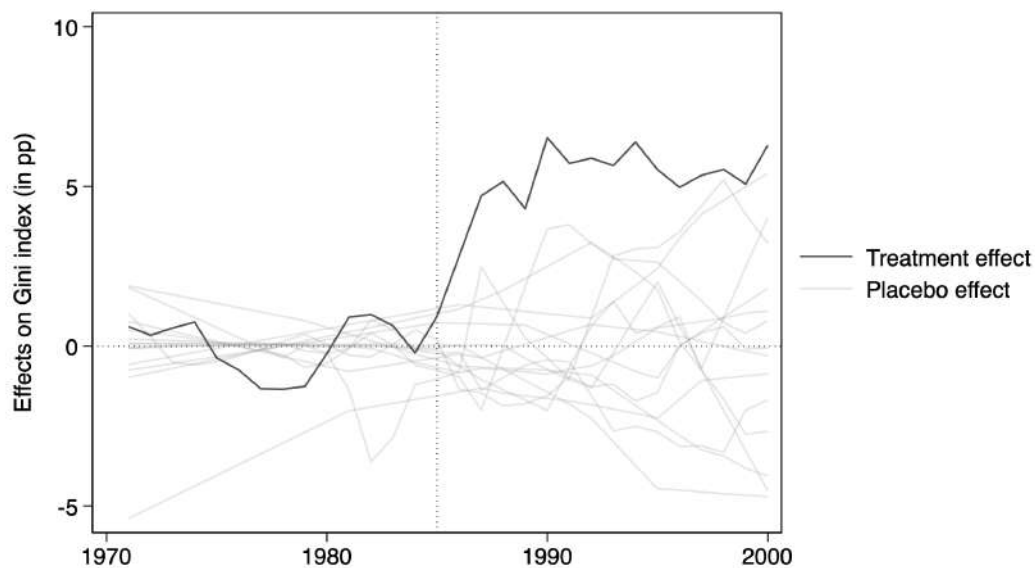
Source: Own elaboration.

6.3. Placebo tests

To assess the statistical significance of the estimated treatment effects, I conduct a series of placebo tests. First, following Abadie, Diamond, and Hainmueller (2010), I implement an in-space placebo test. To do so, I iteratively assign ‘fake’ treatment to each donor country and estimate the resulting placebo effects. Figure 6.4 visualises these in-space placebo trajectories. The treatment effects of Britain’s Big Bang are considered statistically significant if they are unusually large relative to the distribution of ‘fake’ placebo effects over the posttreatment period.

For this test, Abadie, Diamond, and Hainmueller (2010) exclude countries with poor pretreatment fit by imposing a mean squared prediction error (MSPE) cutoff. This is because any observed differences in posttreatment periods may be due to poor fit rather than actual treatment effects, hence biasing results. However, I retain all donor countries, as the UK’s treatment effects exceed all placebo effects, regardless of pretreatment MSPE. Excluding countries would reduce the number of placebo comparisons, thus weakening statistical power. These results further confirm the significance of estimates, as they largely exceed any placebo effects, regardless of their pretreatment fit.

Figure 6.4. In-space placebo test



Note: Placebo effects are estimated by iteratively assigning ‘fake’ treatment to each donor country.

Source: Own elaboration.

The level of statistical significance is given by the right-sided p-value, which is the probability that placebo effects are greater than or equal to observed treatment effects. As Britain’s treatment effects are the largest among placebo units over the entire posttreatment period, the p-value is 1/15 or 0.0667 (Table 6.2). This indicates a 6.67% probability that placebo effects exceed true treatment effects. Results are thus significant at the 10% level across all years (or 90% confidence interval). Note that this is the highest level of statistical significance achievable with this dataset, as higher confidence would require a larger donor pool.

Table 6.2. SCM estimates and p-value statistics

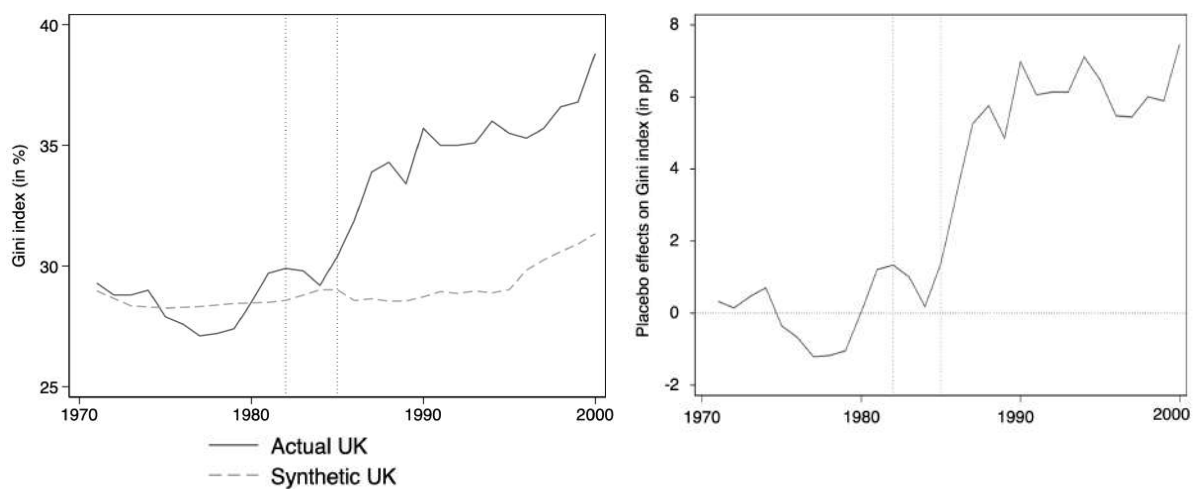
Year	Treatment effect	p-value (right-sided)	Year	Treatment effect	p-value (right-sided)
1986	2.820	0.0667	1994	6.387	0.0667
1987	4.706	0.0667	1995	5.525	0.0667
1988	5.155	0.0667	1996	4.973	0.0667
1989	4.301	0.0667	1997	5.349	0.0667
1990	6.529	0.0667	1998	5.530	0.0667
1991	5.723	0.0667	1999	5.074	0.0667
1992	5.883	0.0667	2000	6.289	0.0667
1993	5.653	0.0667	Mean	5.326	0.0667

Note: The right-sided p-value of the treatment effect is the frequency that placebo effects are greater than or equal to treatment effects.

Source: Own elaboration.

Second, following Abadie, Diamond, and Hainmueller (2015), I conduct an in-time placebo test by backdating ‘fake’ treatment in 1983, three years before the actual Big Bang. This tests whether the observed effects are significantly driven by pre-existing trends or anticipation effects. Intuitively, finding large, backdated placebo effects would erode confidence in the statistical significance of estimates. To maintain validity, I exclude the 1984 lagged Gini coefficient from the list of covariates, as predictors must be based on pretreatment characteristics.

Figure 6.5 plots the result of this in-time placebo test. While a small gap appears between the actual and synthetic UK before 1986, this is likely due to the imperfect goodness-of-fit of the synthetic counterfactual, as the gap narrows by 1985 and only diverges meaningfully after 1986, the true treatment year. This supports the conclusion that the Big Bang, and not earlier trends, drove the observed increase in Gini inequality in Britain, which largely discards potential anticipation effects.

Figure 6.5. In-time placebo test (1983)

Note: Placebo effects are estimated using a ‘fake’ treatment time of 1983, backdating the true 1986 Big Bang.

Source: Own elaboration.

Together, these in-space and in-time placebo tests confirm the statistical significance of results: Britain's 1986 Big Bang had a clear and substantial effect on increasing Gini inequality in the UK.

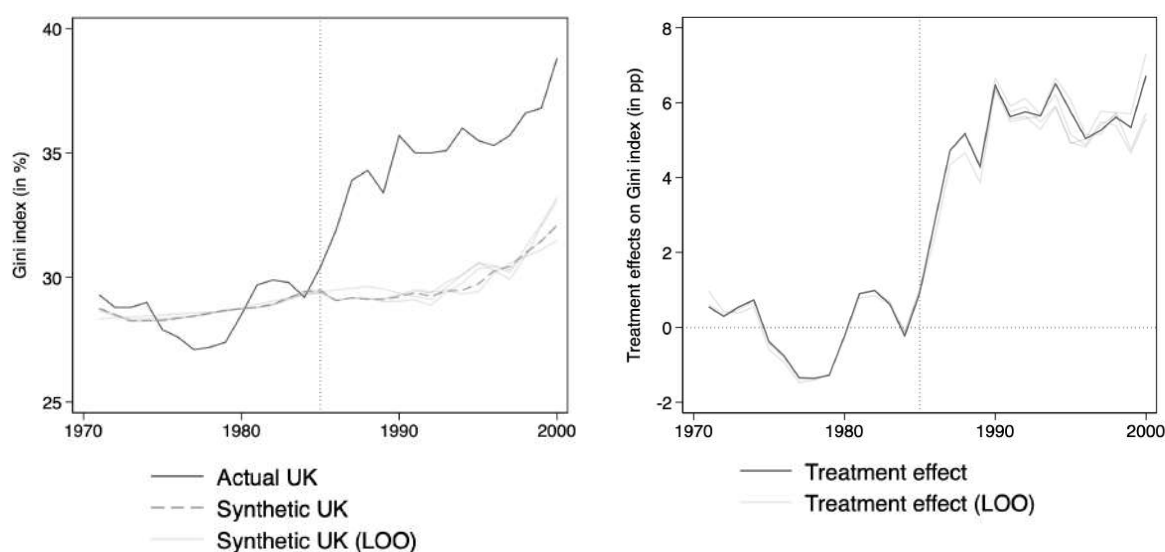
6.4. Robustness tests

To check the robustness of results, I perform a leave-one-out (LOO) robustness test following the methodology proposed by Abadie, Diamond, and Hainmueller (2015). This test addresses the concern that treatment effects may be disproportionately influenced by a single donor country with positive weights in the synthetic control.

To do so, I iteratively exclude each positively weighted country from the donor pool and re-estimate the corresponding synthetic controls. While sacrificing some goodness-of-fit, this test assesses whether results are significantly influenced by a single weighted control unit. If the resulting LOO synthetic UKs remain similar to the original, then results are considered robust.

Figure 6.6 presents LOO robustness test results. The alternative LOO synthetic UKs closely track the posttreatment trajectory for the original synthetic UK. This confirms that the findings are not disproportionately driven by any single weighted control unit and are robust to changes in the specification of country and covariate weights.

Figure 6.6. Leave-one-out robustness test



Note: Each LOO line represents a synthetic UK constructed without one of the positively weighted donor countries.

Source: Own elaboration.

7. Discussion

7.1. The Big Bang unambiguously increased inequalities in Britain

This study finds clear evidence that the 1986 Big Bang significantly increased inequalities in Britain, compared to a counterfactual scenario of gradual financial deregulation. Specifically, I find that 5.3 percentage points of the average rise in the UK's Gini coefficient between 1986 and 2000 are causally attributable to the Big Bang. Inequality gains surged rapidly until 1990 and then stabilised around 6 percentage points. To interpret this, I examine Lorenz curves, which illustrate the cumulative distribution of disposable income across population deciles. The Gini index measures the area between the Lorenz curve and the hypothetical line of perfect equality.

Figures 7.1 and 7.2 plot the UK's Lorenz curves of disposable income before (1977-85) and after (1986-2000) the Big Bang (ONS 2023). The post-Big Bang Lorenz curve is more convex, indicating greater concentration of income among the wealthiest deciles (Figure 7.1). During this period, the bottom 25% of the population held approximately 3.1% of total disposable income, while the top 10% held 25% of total income (Figure 7.2). The income share ratio between these groups thus rose from 6.6 (pre-Big Bang) to 8.1 (post-Big Bang), confirming a sharp rise in inequality.

Figure 7.1. UK Lorenz curves (disposable income): pre vs post Big Bang

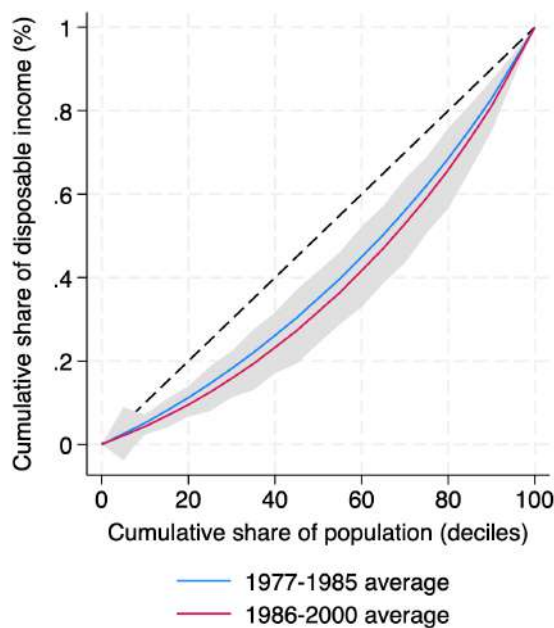
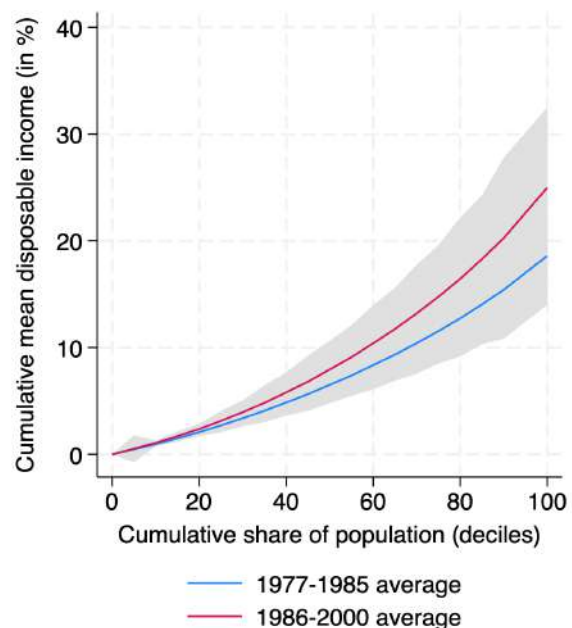


Figure 7.2. UK generalised Lorenz curves (disposable income): pre vs post Big Bang



Note: Data is split into pre and post Big Bang (starting in 1977). The grey area shows the 95% confidence interval. The dashed line represents perfect income equality. Figures are based on median disposable household income (after taxes and benefits) by decile.

Source: Own elaboration using ONS data.

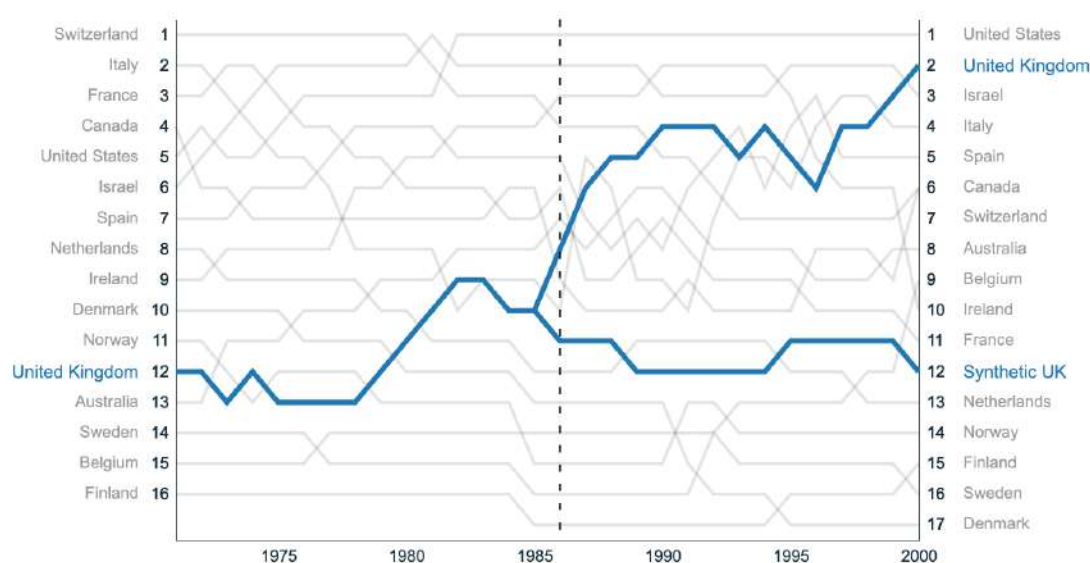
7.2. Because of financial deregulation, Britain now ranks as the second-most unequal high-income economy in the world

One great advantage of the Gini coefficient is its comparability. One insightful way to understand the effects of the Big Bang in Britain is to compare Gini values with peer countries. Figure 7.3 ranks the Gini coefficients of donor pool countries (including the US) from 1971 to 2000, from 1 (highest inequality) to 17 (lowest inequality).

In 1970, the UK ranked 12th, meaning it was less unequal than most peers. By 2000, the UK ranked 2nd, making Britain the second-most unequal high-income economy behind the United States. Had the Big Bang not occurred and financial deregulation been more incremental, Britain would have remained 12th, with lower Gini inequality than most peers. Thus, the Big Bang raised Britain's inequality ranking by 10 places relative to peer countries.

The academic literature has long identified the UK as one of the most unequal economies in the world in terms of disposable income, productivity and GDP per capita levels (McCann and Vorley 2020; Stansbury, Sloan, and Turner 2023). However, there is no clear consensus on why this is the case. This study provides fresh evidence that a significant portion of these inequality gains are directly linked to financialised policymaking and the Big Bang.

Figure 7.3. Gini coefficient ranking (1-17): UK vs donor pool countries (1971-2000)



Note: Gini coefficients are ranked from 1 (highest level of Gini inequality) to 17 (lowest level of Gini inequality).

Source: Own elaboration.

7.3. Economic gains from the Big Bang have disproportionately favoured the highest percentiles of the wealth distribution in a small number of regions

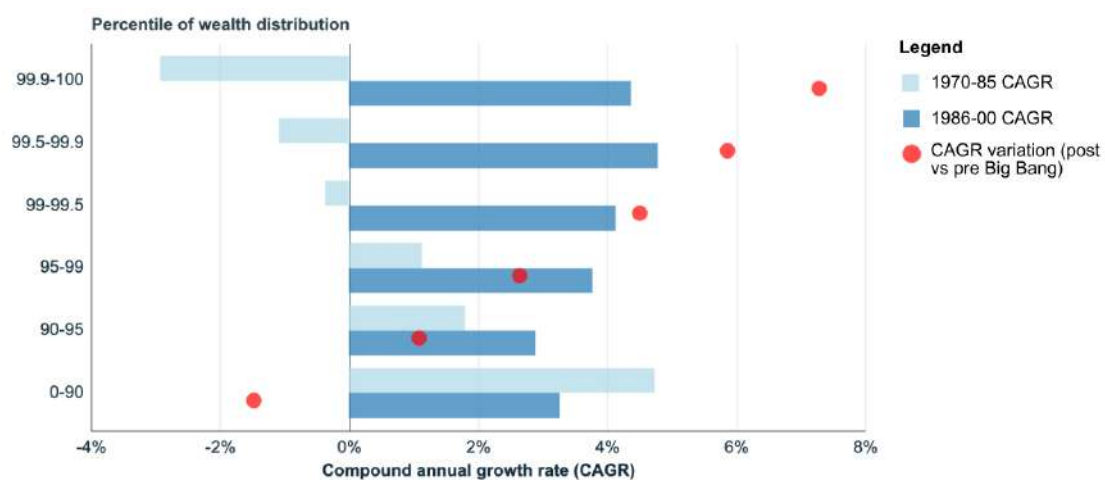
One limitation of the Gini index is that it measures relative inequality and does not indicate where inequalities have increased the most in absolute terms. To better understand the distributional impact of the Big Bang on inequality, I examine changes in wealth by percentile and region.

Using data from the World Inequality Database (Solt 2020; 2024), Figure 7.4 plots the compound annual growth rate (CAGR) of net personal wealth across six wealth percentiles before (1977-85) and after (1986-2000) the Big Bang, along with the absolute change in growth rates between these periods.

Although all percentiles experienced positive net personal wealth growth after the Big Bang (1986-2000), the distribution of gains was highly unequal. Indeed, the absolute variation in wealth growth between the pre- and post-Big Bang periods reveals that wealth gains were disproportionately allocated to the highest wealth percentiles. Specifically, 90% of the population saw a relative decline in wealth growth (-1.8%), while the top percentiles experienced substantial increases. These gains were linearly correlated with their position in the wealth distribution, as wealth grew by 3% for the top 5%, 6% for the top 0.5%, and 7.5% for the top 0.1% of earners.

Thus, while the entire population experienced positive wealth growth, the benefits of financial deregulation were disproportionately concentrated among top earners, leaving 90% of the population relatively worse off. Further analysis of the wealth gains (or losses) for the lower percentiles of the distribution would be insightful, but such data is unavailable before 1997.

Figure 7.4. UK net personal wealth CAGR by percentile (%)



Note: Data is divided into pre and post Big Bang periods. The compound annual growth rate (CAGR) measures the average annual growth of personal wealth over the 1970-85 and 1986-00 periods.

Source: Own elaboration using World Inequality Database data.

Second, I assess regional disparities using historical trend files from the Office for National Statistics (ONS 2016). Figure 7.5 illustrates the change in relative disposable income per head across UK regions between pre- and post-Big Bang periods, indexed to the national average. Following the Big Bang, the North West's share of national income decreased by 3.1 percentage points (from 96.1% to 93% of the national average), while the South East's share of national income increased by 5.3 percentage points (from 96.2% to 101.5% of the national average).

Figure 7.6 shows the change in regional contributions to the UK's aggregate compound annual growth rate (CAGR) between pre- and post-Big Bang periods. Following the Big Bang, the South

West's share of national growth declined by 1.4 percentage points (from 9.1% over 1971-1985 to 7.7% over 1986-1995), while London's contribution to total growth increased by 1.1 percentage points over the same period (from 7.2% to 8.3% respectively).

Overall, these findings indicate that the economic gains from the Big Bang were highly geographically concentrated. Financial deregulation has disproportionately benefited London, the South East, and Northern Ireland, increasing their share of disposable income and growth relative to the national average, while most other UK regions experienced relative decline, such as the South West, the Midlands, and the North of England. This supports the view that regional inequality gains are a significant driver of the broader rise in inequality identified in this study, as suggested by Stansbury, Sloan, and Turner (2023).

Figure 7.5. Change in relative disposable income per head: pre vs post Big Bang (in pp)

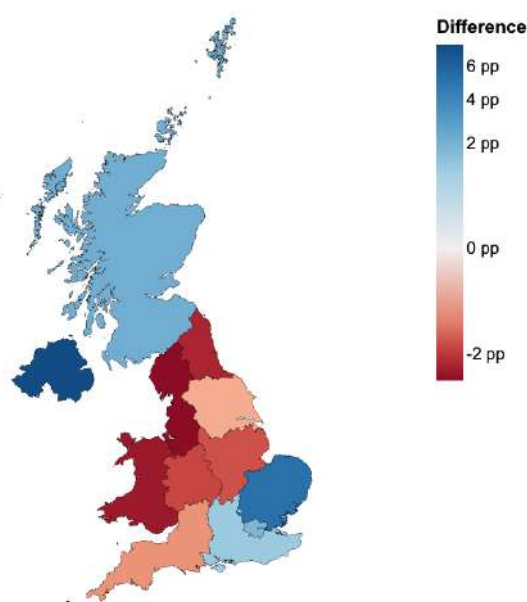
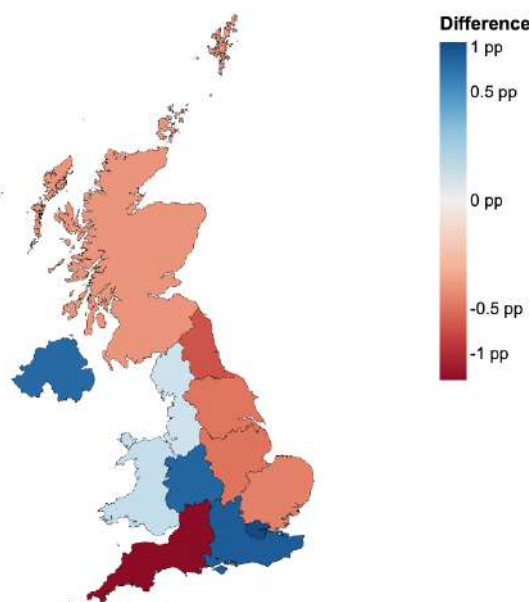


Figure 7.6. Change in relative contribution to UK growth: pre vs post Big Bang (in pp)



Note: Data is split into pre and post Big Bang periods (1971-85 vs 1986-96). The graphs show the difference in relative disposable income per head (index: UK average = 100) and regional contributions to UK compound annual growth (in percentage points).

Source: Own elaboration using ONS data.

7.4. The inequality gains caused by the Big Bang have likely contributed to Britain's long-run economic slowdown

The 1986 Big Bang established the City of London as a leading global financial centre, the largest in the G7 as a share of total GVA alongside the United States (OECD 2024b). As a result, London and the South East have become the UK's fastest-growing regions since the Big Bang (Figure 7.6).

However, financial sector growth has coincided with a sharp rise in inequality levels. Indeed, the UK now exhibits one of the widest regional productivity divides among advanced economies: productivity in London and the South East represents around 1.7 times the national average (Westwood et al. 2024). Regional disparities in the UK now surpass those in historically divided

countries such as Germany and Italy (Stansbury, Sloan, and Turner 2023). By 2014, the UK was home to both the wealthiest city (London) and nine out of the ten poorest cities in Northern Europe (Inequality Briefing 2014). This stark regional divide has fuelled a vast ‘geography of discontent’, often cited as a key factor behind the UK’s recent political shocks such as the 2016 Brexit referendum (McCann and Ortega-Argilés 2021).

Evidence from peer countries supports the link between regional inequalities and economic underperformance. For instance, Lasheras and Pellegrino (2024) show that lasting regional inequalities in Italy have hampered long-term growth. This raises a critical question: to what extent have the inequality gains generated by the Big Bang contributed to the UK’s economic stagnation?

Figure 7.7 displays regional Gini coefficients in the UK in 2018, while Figure 7.8 displays the compound annual growth rate of these regions over the past 25 years (1998-2023) (ONS 2020). Note that these Gini values measure total wealth inequality rather than consumption inequality, as in the earlier analysis, which explains the scale difference. This purely correlative data reveals an interesting pattern: the most unequal regions today (London and the North East) have experienced relatively slower long-term economic growth over the past 25 years than less unequal regions (Yorkshire and the Humber, the North West, and the West Midlands).

These findings support the literature that highlights the context-specific nature of the relationship between inequality and growth (see Section 3.4). In the UK, increased regional inequalities appear to have partly hindered long-term economic growth in some regions. As such, while the Big Bang effectively delivered short-term gains in financial sector productivity and growth, it also deepened regional disparities that likely contributed to the country’s prolonged economic slowdown.

Figure 7.7. UK regional Gini index for total wealth, 2018 (in %)

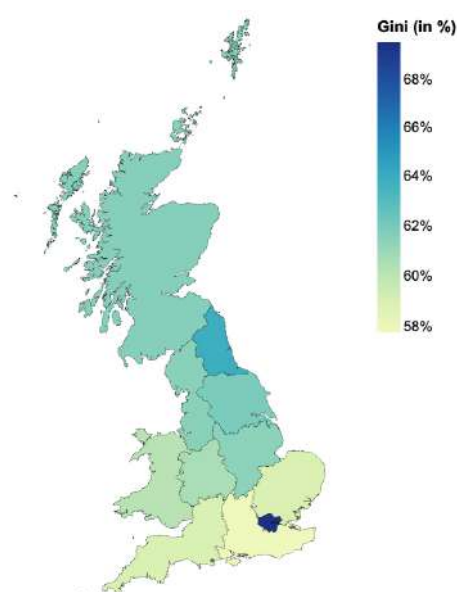
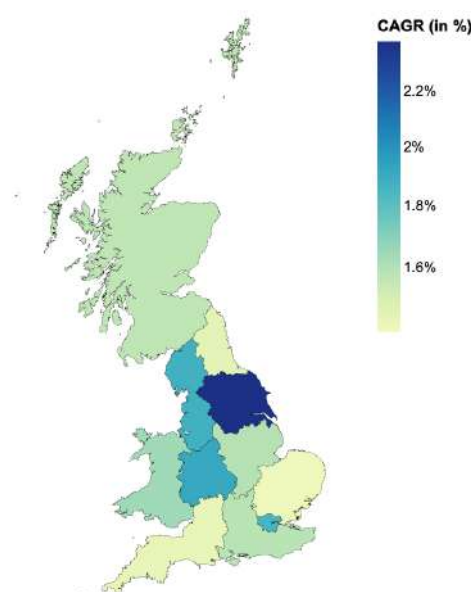


Figure 7.8. UK regional GDP compound annual growth rate, 1998-2023 (in %)



Note: Regional Gini total wealth inequality ranges from 0 (perfect equality) to 100 (perfect inequality). Regional GDP CAGR is computed over the past 25 years (1998-2023). Northern Ireland is excluded due to missing data.

Source: Own elaboration using ONS data.

8. Conclusions and implications

8.1. Study conclusions

This study has assessed the causal impact of Britain's 1986 Big Bang on inequality and its broader implications for the UK's long-term economic trajectory. Using the synthetic controls method, I find that the Big Bang led to a 5.3 percentage point increase in living standards inequality in Britain, relative to a counterfactual scenario of gradual financial deregulation. Inequality gains rose rapidly until 1990 before stabilising around 6 percentage points. These results are both statistically significant and robust to specification changes, demonstrating strong internal validity (note that findings are not externally generalisable beyond the UK context).

Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain ranked as the second-most unequal high-income economy globally, behind the United States. In the absence of the Big Bang, it would have ranked twelfth. Furthermore, the economic benefits of financial deregulation were highly concentrated, disproportionately accruing to the wealthiest percentiles and a small number of regions. Specifically, 90% of the British population saw a relative decline in wealth growth following the Big Bang, while the top percentiles experienced strong wealth gains. From a regional perspective, correlational evidence shows that London, the South East, and Northern Ireland seem to have disproportionately captured economic gains from the Big Bang, while most other regions have experienced economic stagnation or decline.

Overall, this study suggests that the increased inequality generated by the Big Bang may have contributed to the UK's long-term economic slowdown. The regions that benefited the most from financial deregulation have become the most unequal, and, over time, slower growing. This evidence indicates that while Britain's sudden financial deregulation delivered short-term gains in productivity and financial sector growth, its long-term effects on wealth and regional inequalities may have created large sectoral and regional imbalances in resource allocation, leading to slower economic growth. Together, these findings validate both hypotheses formulated in Section 4.

8.2. Policy implications

As the current UK government is desperately seeking to address the country's long-run growth slowdown, its attention has unsurprisingly turned towards the financial sector as a potential source of sustained growth. The Chancellor has advocated for further financial liberalisation to avoid unnecessary regulation of financial services (HM Treasury 2024b). However, as this analysis has elucidated, policymakers must proceed with caution when dealing with financial deregulation. While the 1986 Big Bang entailed positive short-term effects, evidence points towards negative long-term effects through increased inequalities, which may partly explain the UK's recent growth slowdown.

Accordingly, any further efforts to deregulate the financial sector must not only consider the immediate gains but also the longer-term distributional and regional consequences of financial reform. Britain's entrenched North-South regional divide has long been identified as one of the

most significant constraints to inclusive growth in the UK (Stansbury, Sloan, and Turner 2023). In this context, further deregulation risks exacerbating this divide, reinforcing inequality, and weakening long-term economic resilience. This study supports calls from academic and policy experts for a cautious, evidence-based approach to financial sector reform (Delaney et al. 2025).

More broadly, this research intends to serve as a cautionary lesson for global policymakers on the risks of financial deregulation. By no means does this study suggest that financial services undermine the economy; quite the opposite, financial services are a strong enabler of economic welfare gains. However, for this to be true, the financial sector must act to support and facilitate investment in the real economy, rather than extracting rents from financial assets. The risks of such behaviour on welfare are substantial (Mazzucato, Ryan-Collins, and Gouzoulis 2023). In the UK, only around 20% of finance is invested in the productive economy today, while the remaining 80% accrues towards the finance, insurance and real estate sector (Mazzucato 2021).

Finally, some scholars have proposed that Britain should ‘de-financialise’ by reducing the dominance of the financial sector in the economy (Karwowski 2019; Christensen, Shaxson, and Wigan 2016). This study does not provide direct evidence towards this position, as the effects of financial development on growth appear mainly correlational. However, this study strongly supports the view that thoughtful, inclusive policymaking is an essential prerequisite for finance to meaningfully serve the real economy and contribute to long-term, inclusive growth (Mazzucato 2025). As such, any policymakers seeking to address the role of the financial sector in the economy must ensure that financial gains are inclusively distributed both across income groups and regions.

8.3. Areas for future research

This study contributes to bridging the gap between theoretical work on the financialisation of policymaking and empirical research on financial deregulation by offering a fresh perspective on the effects of Britain’s Big Bang on inequalities and economic welfare.

However, the effects of financialised policymaking on public welfare outcomes remain underexplored. Future research should extend this analysis to the other three dimensions of State financialisation identified by Karwowski (2019): fiscal policy expenditure, fiscal policy revenue, and monetary policy central banking. Additionally, further empirical work remains necessary to understand the effects of inequality gains on the UK’s long-term growth trajectory, particularly given the context-specific nature of this relationship (Mdingi and Ho 2021).

9. References

- Aalbers, Manuel B. 2019. 'Financialization'. In *International Encyclopedia of Geography*, edited by Douglas Richardson, Noel Castree, Michael F. Goodchild, Audrey Kobayashi, Weidong Liu, and Richard A. Marston, 1st ed., 1–12. Wiley. <https://doi.org/10.1002/9781118786352.wbieg0598.pub2>.
- Abadie, Alberto. 2021. 'Using Synthetic Controls: Feasibility, Data Requirements, and Methodological Aspects'. *Journal of Economic Literature* 59 (2): 391–425. <https://doi.org/10.1257/jel.20191450>.
- Abadie, Alberto, Alexis Diamond, and Jens Hainmueller. 2010. 'Synthetic Control Methods for Comparative Case Studies: Estimating the Effect of California's Tobacco Control Program'. *Journal of the American Statistical Association* 105 (490): 493–505. <https://doi.org/10.1198/jasa.2009.ap08746>.
- . 2015. 'Comparative Politics and the Synthetic Control Method'. *American Journal of Political Science* 59 (2): 495–510. <https://doi.org/10.1111/ajps.12116>.
- Aghion, Philippe, Eve Caroli, and Cecilia Garcia-Penalosa. 1999. 'Inequality and Economic Growth: The Perspective of the New Growth Theories'. *Journal of Economic Literature* 37 (4): 1615–60. <https://doi.org/10.1257/jel.37.4.1615>.
- Aglietta, Michel. 2017. 'II/ Capitalisme : les mutations d'un système de pouvoirs'. In *L'économie mondiale 2018*, 23–39. La Découverte. <https://shs.cairn.info/economie-mondiale-2018--9782707197023-page-23>.
- Aitken, Rob. 2007. *Performing Capital: Toward a Cultural Economy of Popular and Global Finance*. 1st ed. New York: Palgrave Macmillan.
- Alesina, Alberto, and Roberto Perotti. 1996. 'Income Distribution, Political Instability, and Investment'. *European Economic Review* 40 (6): 1203–28. [https://doi.org/10.1016/0014-2921\(95\)00030-5](https://doi.org/10.1016/0014-2921(95)00030-5).
- Alesina, Alberto, and Dani Rodrik. 1994. 'Distributive Politics and Economic Growth'. *The Quarterly Journal of Economics* 109 (2): 465–90. <https://doi.org/10.2307/2118470>.
- Amable, Bruno, Aidan Regan, Sabina Avdagic, Lucio Baccaro, Jonas Pontusson, and Natascha Van Der Zwan. 2019. 'New Approaches to Political Economy'. *Socio-Economic Review* 17 (2): 433–59. <https://doi.org/10.1093/ser/mwz002>.
- Arcand, Jean-Louis, Enrico Berkes, and Ugo Panizza. 2012. 'Too Much Finance?' <https://www.imf.org/external/pubs/ft/wp/2012/wp12161.pdf>.
- Athey, Susan, and Guido W. Imbens. 2017. 'The State of Applied Econometrics: Causality and Policy Evaluation'. *Journal of Economic Perspectives* 31 (2): 3–32. <https://doi.org/10.1257/jep.31.2.3>.
- Bank of England. 1987. 'Change in The Stock Exchange and Regulation of the City - Quarterly Bulletin 1987 Q1'. 1 March 1987. <https://www.bankofengland.co.uk/quarterly-bulletin/1987/q1/change-in-the-stock-exchange-and-regulation-of-the-city>.
- Barman, Emily. 2015. 'Of Principle and Principal: Value Plurality in the Market of Impact Investing'. *Valuation Studies* 3 (1): 9–44. <https://doi.org/10.3384/Vs.2001-5592.15319>.
- Barro, Robert J. 2000. 'Inequality and Growth in a Panel of Countries'. *Journal of Economic Growth* 5 (1): 5–32. <https://doi.org/10.1023/A:1009850119329>.
- Bell, Brian D., and John Van Reenen. 2013. 'Extreme Wage Inequality: Pay at the Very Top'. *American Economic Review* 103 (3): 153–57. <https://doi.org/10.1257/aer.103.3.153>.
- Bellringer, Christopher, and Randal Michie. 2014. 'Big Bang in the City of London: An Intentional Revolution or an Accident?' *Financial History Review* 21 (2): 111–37. <https://doi.org/10.1017/S0968565014000092>.

- Boustanifar, Hamid, Everett Grant, and Ariell Reshef. 2016. 'Wages and Human Capital in Finance: International Evidence, 1970-2005'.
- Boyer, Robert. 2005. 'From Shareholder Value to CEO Power: The Paradox of the 1990s'. *Competition & Change* 9 (1): 7–47. <https://doi.org/10.1179/102452905X38623>.
- Brenton, Hannah. 2025. 'Britain Tells Regulators to Go Easy on Regulation, Actually'. POLITICO. 17 January 2025. <https://www.politico.eu/article/britain-tells-regulators-to-go-easy-on-regulation-actually/>.
- Cecchetti, Stephen G, and Enisse Kharroubi. 2015. 'Why Does Financial Sector Growth Crowd out Real Economic Growth?', February. <https://www.bis.org/publ/work490.pdf>.
- Ceriani, Lidia, and Paolo Verme. 2012. 'The Origins of the Gini Index: Extracts from Variabilità e Mutabilità (1912) by Corrado Gini'. *The Journal of Economic Inequality* 10 (3): 421–43. <https://doi.org/10.1007/s10888-011-9188-x>.
- Charles, Vincent, Tatiana Gherman, and Juan Carlos Paliza. 2022. 'The Gini Index: A Modern Measure of Inequality'. In *Modern Indices for International Economic Diplomacy*, edited by Vincent Charles and Ali Emrouznejad, 55–84. Cham: Springer International Publishing. https://doi.org/10.1007/978-3-030-84535-3_3.
- Chiapello, Ève. 2017. 'La financiarisation des politiques publiques'. *Mondes en développement* 178 (2): 23–40. <https://doi.org/10.3917/med.178.0023>.
- Chinn, Menzie D., and Hiro Ito. 2008. 'A New Measure of Financial Openness'. *Journal of Comparative Policy Analysis: Research and Practice* 10 (3): 309–22. <https://doi.org/10.1080/13876980802231123>.
- Christensen, John, Nick Shaxson, and Duncan Wigan. 2016. 'The Finance Curse: Britain and the World Economy'. *The British Journal of Politics and International Relations* 18 (1): 255–69. <https://doi.org/10.1177/1369148115612793>.
- Christopherson, S., R. Martin, and J. Pollard. 2013. 'Financialisation: Roots and Repercussions'. *Cambridge Journal of Regions, Economy and Society* 6 (3): 351–57. <https://doi.org/10.1093/cjres/rst023>.
- Cingano, Federico. 2014. 'Trends in Income Inequality and Its Impact on Economic Growth'. OECD Social, Employment and Migration Working Papers. Organisation for Economic Co-Operation and Development (OECD). <https://doi.org/10.1787/5jxjrncwv6j-en>.
- Conley, Timothy G., and Christopher R. Taber. 2011. 'Inference with "Difference in Differences" with a Small Number of Policy Changes'. *Review of Economics and Statistics* 93 (1): 113–25. https://doi.org/10.1162/REST_a_00049.
- Copley, Jack. 2021a. 'Framing Financialization and the State'. In *Governing Financialization*, by Jack Copley, 1st ed., 23–44. Oxford University Press/Oxford. <https://doi.org/10.1093/oso/9780192897015.003.0002>.
- . 2021b. 'Framing Financialization and the State'. In *Governing Financialization: The Tangled Politics of Financial Liberalisation in Britain*, edited by Jack Copley, 0. Oxford University Press. <https://doi.org/10.1093/oso/9780192897015.003.0002>.
- . 2021c. 'The Big Bang'. In *Governing Financialization: The Tangled Politics of Financial Liberalisation in Britain*, edited by Jack Copley, 0. Oxford University Press. <https://doi.org/10.1093/oso/9780192897015.003.0006>.
- Croix, David de la, and Matthias Doepke. 2003. 'Inequality and Growth: Why Differential Fertility Matters'. *American Economic Review* 93 (4): 1091–1113. <https://doi.org/10.1257/000282803769206214>.
- Crouch, Colin. 2009. 'Privatised Keynesianism: An Unacknowledged Policy Regime'. *The British Journal of Politics and International Relations* 11 (3): 382–99. <https://doi.org/10.1111/j.1467-856X.2009.00377.x>.
- Cutler, Tony, and Barbara Waine. 2001. 'Social Insecurity and the Retreat from Social Democracy: Occupational Welfare in the Long Boom and Financialization'. *Review of International Political Economy* 8 (1): 96–118.

- Davies, Richard, and Peter Richardson. 2010. 'Evolution of the UK Banking System'.
- Davis, Aeron, and Catherine Walsh. 2016. 'The Role of the State in the Financialisation of the UK Economy'. *Political Studies* 64 (3): 666–82. <https://doi.org/10.1111/1467-9248.12198>.
- Delaney, Paul, Mick McAteer, Nicholas Shaxson, Jesse Griffiths, Sue Hawley, Phoebe Clay, and Josh Ryan-Collins. 2025. 'Response to Financial Services Growth and Competitiveness Strategy Call for Evidence', 2025. <https://www.datocms-assets.com/132494/1734021836-financial-services-growth-and-competitiveness-joint-response-1.pdf>.
- Delestre, Isaac, Wojciech Kopczuk, Helen Miller, and Kate Smith. 2024. 'Top Income Inequality and Tax Policy'.
- Demirgüç-Kunt, Asli, and Ross Levine. 2009. 'Finance and Inequality: Theory and Evidence'.
- Dutta, Sahil Jai. 2018. 'Sovereign Debt Management and the Globalization of Finance: Recasting the City of London's "Big Bang"'. *Competition & Change* 22 (1): 3–22. <https://doi.org/10.1177/1024529417734524>.
- Eckert, Henri. 2008. 'Bihr A. et Pfefferkorn R. (2008), Le système des inégalités'. *Formation emploi. Revue française de sciences sociales*, no. 104 (October), 83–87.
- Edelstein, Michael. 1976. 'Realized Rates of Return on U.K. Home and Overseas Portfolio Investment in the Age of High Imperialism'. *Explorations in Economic History* 13 (3): 283–329. [https://doi.org/10.1016/0014-4983\(76\)90010-3](https://doi.org/10.1016/0014-4983(76)90010-3).
- Epstein, Gerald A. 2005. 'Financialization and the World Economy'. Books. Edward Elgar Publishing. <https://econpapers.repec.org/bookchap/elgeebook/3455.htm>.
- Erturk, Ismail, Julie Froud, Sukhdev Johal, Adam Leaver, and Karel Williams. 2007. 'The Democratization of Finance? Promises, Outcomes and Conditions'. *Review of International Political Economy* 14 (4): 553–75. <https://doi.org/10.1080/09692290701475312>.
- Farris, Frank A. 2010. 'The Gini Index and Measures of Inequality'. *The American Mathematical Monthly* 117 (10): 851–64. <https://doi.org/10.4169/000298910x523344>.
- Ferreira, Ines A, Rachel M Gisselquist, and Finn Tarp. 2022. 'On the Impact of Inequality on Growth, Human Development, and Governance'. *International Studies Review* 24 (1): viab058. <https://doi.org/10.1093/isr/viab058>.
- Financial Times. 1986. 'The City Revolution'. *Financial Times*, 27 October 1986.
- Firpo, Sergio, and Vitor Possebom. 2018. 'Synthetic Control Method: Inference, Sensitivity Analysis and Confidence Sets'. *Journal of Causal Inference* 6 (2): 20160026. <https://doi.org/10.1515/jci-2016-0026>.
- Fitzgerald, James. 2024. 'UK Will Be Worst-Performing G7 Economy in 2025, OECD Forecasts'. *POLITICO*, 2 May 2024. <https://www.politico.eu/article/uk-will-be-worst-performing-g7-economy-in-2025-oecd-forecasts/>.
- Flamencourt, Louis. 2024. 'Britain's Shift towards Financial Capitalism: How Financialisation Is Altering Individual Economic Behaviour, Paving the Way for a New Regime of Risk-Taking-Driven Growth in the United Kingdom'. *UCL Journal of Economics* 3 (1). <https://doi.org/10.14324/111.444.2755-0877.1593>.
- Forbes, Kristin J. 2000. 'A Reassessment of the Relationship between Inequality and Growth'. *American Economic Review* 90 (4): 869–87. <https://doi.org/10.1257/aer.90.4.869>.
- Galor, Oded, and Joseph Zeira. 1993. 'Income Distribution and Macroeconomics'. *The Review of Economic Studies* 60 (1): 35. <https://doi.org/10.2307/2297811>.
- Girouard, Nathalie, and Sveinbjörn Blöndal. 2001. 'House Prices and Economic Activity'. Working paper 279. OECD Economics Department Working Papers. OECD Publishing. <https://doi.org/10.1787/061034430132>.

- Gräbner, Claudius, Philipp Heimberger, Jakob Kapeller, and Florian Springholz. 2021. 'Understanding Economic Openness: A Review of Existing Measures'. *Review of World Economics* 157 (1): 87–120. <https://doi.org/10.1007/s10290-020-00391-1>.
- Greenwood, Jeremy, and Boyan Jovanovic. 1990. 'Financial Development, Growth, and the Distribution of Income'. *The Journal of Political Economy* 98 (5): 1076–1107.
- Haffert, Lukas, David Hope, and Julian Limberg. 2024. 'Taxes on Top Incomes and Financialisation'. *Review of International Political Economy*.
- Halter, Daniel, Manuel Oechslin, and Josef Zweimüller. 2014. 'Inequality and Growth: The Neglected Time Dimension'. *Journal of Economic Growth* 19 (1): 81–104. <https://doi.org/10.1007/s10887-013-9099-8>.
- HM Treasury. 2024a. 'Chancellor Fires up Financial Services Sector to Drive Growth'. *GOV.UK*, 14 November 2024. <https://www.gov.uk/government/news/chancellor-fires-up-financial-services-sector-to-drive-growth>.
- . 2024b. 'Financial Services Growth and Competitiveness Strategy'. *GOV.UK*. 14 November 2024. <https://www.gov.uk/government/calls-for-evidence/financial-services-growth-and-competitiveness-strategy>.
- . 2025. 'Spring Statement 2025'. CP 1298.
- Hripcsak, George, Linying Zhang, Yong Chen, Kelly Li, Marc A. Suchard, Patrick B. Ryan, and Martijn J. Schuemie. 2025. 'Assessing Covariate Balance with Small Sample Sizes'. *medRxiv*. <https://doi.org/10.1101/2024.04.23.24306230>.
- Inequality Briefing. 2014. 'The Poorest Regions of the UK Are the Poorest in North West Europe'. 2014. <https://inequalitybriefing.org/brief/briefing-43-the-poorest-regions-of-the-uk-are-the-poorest-in-northern->.
- Kaldor, Nicholas. 1955. 'Alternative Theories of Distribution'. *The Review of Economic Studies* 23 (2): 83. <https://doi.org/10.2307/2296292>.
- Karwowski, Ewa. 2019. 'Towards (de-)Financialisation: The Role of the State'. *Cambridge Journal of Economics* 43 (4): 1001–27. <https://doi.org/10.1093/cje/bez023>.
- Krippner, Greta. 2005. 'The Financialization of the American Economy'. *Socio-Economic Review* 3 (2): 173–208. <https://doi.org/10.1093/SER/mwi008>.
- La Porta, Rafael, Florencio Lopez-de-Silanes, Andrei Shleifer, and Robert W. Vishny. 1997. 'Legal Determinants of External Finance'. SSRN Scholarly Paper. Rochester, NY: Social Science Research Network. <https://papers.ssrn.com/abstract=8179>.
- Langley, Paul. 2009. *The Everyday Life of Global Finance: Saving and Borrowing in Anglo-America*. Oxford, New York: Oxford University Press.
- Lasheras, Pablo Martinelli, and Dario Pellegrino. 2024. 'Land Inequality and Long-Run Growth: Evidence from Italy'. *Quaderni Di Storia Economica (Economic History Working Papers)*, Quaderni di storia economica (Economic History Working Papers), , March. https://ideas.repec.org/p/bdi/workqs/qse_52.html.
- Laurence, Henry. 2001. *Money Rules: The New Politics of Finance in Britain and Japan*. Cornell University Press.
- Lazonick, William, and Mary O'Sullivan. 2000. 'Maximizing Shareholder Value: A New Ideology for Corporate Governance'. *Economy and Society* 29 (1): 13–35. <https://doi.org/10.1080/030851400360541>.
- Li, Hongyi, and Heng-fu Zou. 1998. 'Income Inequality Is Not Harmful for Growth: Theory and Evidence'. *Review of Development Economics* 2 (3): 318–34. <https://doi.org/10.1111/1467-9361.00045>.

- Macpherson, Nicholas. 2014. 'Speech by the Permanent Secretary to the Treasury, The Treasury View: A Testament of Experience'. GOV.UK. 2014. <https://www.gov.uk/government/speeches/speech-by-the-permanent-secretary-to-the-treasury-the-treasury-view-a-testament-of-experience>.
- Mazzucato, Mariana. 2014. *The Entrepreneurial State: Debunking Public vs. Private Sector Myths*. Revised edition. Anthem Frontiers of Global Political Economy. London ; New York: Anthem Press.
- . 2021. *Mission Economy: A Moonshot Guide to Changing Capitalism*. 1st edition. London: Allen Lane.
- . 2025. 'Directing Growth: How a Mission-Oriented Industrial Strategy Can Help Drive Productivity'. WP 2025—06. IIPP Working Paper. Institute for Innovation and Public Purpose. https://www.ucl.ac.uk/bartlett/sites/bartlett/files/2025-04/WP%202025-06%20Directing%20Growth_0.pdf.
- Mazzucato, Mariana, Josh Ryan-Collins, and Giorgos Gouzoulis. 2023. 'Mapping Modern Economic Rents: The Good, the Bad, and the Grey Areas'. *Cambridge Journal of Economics* 47 (3): 507–34. <https://doi.org/10.1093/cje/bead013>.
- McCann, Philip, and Raquel Ortega-Argilés. 2021. 'The UK "Geography of Discontent": Narratives, Brexit and Inter-Regional "Levelling Up"'. *Cambridge Journal of Regions, Economy and Society* 14 (3): 545–64. <https://doi.org/10.1093/cjres/rsab017>.
- McCann, Philip, and Tim Vorley, eds. 2020. *Productivity Perspectives*. Cheltenham, UK ; Northampton, MA, USA: Edward Elgar Publishing.
- Mdingi, Kholeka, and Sin-Yu Ho. 2021. 'Literature Review on Income Inequality and Economic Growth'.
- Meyer, Bruce D, and James X Sullivan. 2003. 'Measuring The Well-Being Of The Poor Using Income And Consumption', June. https://www.nber.org/system/files/working_papers/w9760/w9760.pdf.
- O'Connor, James H. 1986. 'London's Big Bang Is More than a Date in October'. *American Banker*, 30 July 1986.
- OECD. 2023. 'OECD Indicators of Employment Protection'. <https://www.oecd.org/en/data/datasets/oecd-indicators-of-employment-protection.html>.
- . 2024a. *OECD Economic Outlook, Volume 2024 Issue 1: Preliminary Version*. OECD Economic Outlook. OECD. <https://doi.org/10.1787/69a0c310-en>.
- . 2024b. 'OECD National Accounts Statistics'. Text. 2024. https://www.oecd-ilibrary.org/economics/data/oecd-national-accounts-statistics_na-data-en.
- ONS. 2016. 'Historic Economic Data for Regions of the UK (1966 to 1996) - Office for National Statistics'. https://www.ons.gov.uk/economy/regionalaccounts/grossdisposablehouseholdincome/adhocs/006226historeconomicdataforregionsoftheuk1966to1996?utm_source=chatgpt.com.
- . 2020. 'Analysing Regional Economic and Well-Being Trends - Office for National Statistics'. <https://www.ons.gov.uk/economy/nationalaccounts/uksectoraccounts/compendium/economicreview/february2020/analysingregionaleconomicandwellbeingtrends>.
- . 2023. 'The Effects of Taxes and Benefits on Household Income, Disposable Income Estimate - Office for National Statistics'. <https://www.ons.gov.uk/peoplepopulationandcommunity/personalandhouseholdfinances/incomeandwealth/datasets/householddisposableincomeandinequality>.
- . 2024. 'UK National Accounts, The Blue Book: 2024'. <https://www.ons.gov.uk/releases/uknationalaccountsthebluebook2024>.
- Osberg, Lars. 2017. 'On the Limitations of Some Current Usages of the Gini Index'. *Review of Income and Wealth* 63 (3): 574–84. <https://doi.org/10.1111/roiw.12256>.

- Ostry, Jonathan, Andrew Berg, and Charalambos Tsangarides. 2014. 'Redistribution, Inequality, and Growth'. *Staff Discussion Notes* 14 (02): 1. <https://doi.org/10.5089/9781484352076.006>.
- Palley, Thomas I. 2007. 'Financialization: What It Is and Why It Matters'.
- Perelman, Michael. 2008. 'The Corrosive Qualities of Inequality: The Roots of the Current Meltdown'. *Challenge* 51 (5): 40–64.
- Perotti, Roberto. 1996. 'Growth, Income Distribution, and Democracy: What the Data Say'. *Journal of Economic Growth* 1 (2): 149–87.
- Persson, Torsten, and Guido Tabellini. 1994. 'Is Inequality Harmful for Growth?' *The American Economic Review* 84 (3): 600–621.
- Philippon, Thomas, and Ariell Reshef. 2013. 'An International Look at the Growth of Modern Finance'.
- Plender, John. 1986. 'London's Big Bang in International Context'. *International Affairs (Royal Institute of International Affairs 1944-)* 63 (1): 39–48. <https://doi.org/10.2307/2620231>.
- Power, Dorothy, and Gerald Epstein. 2002. 'The Return of Finance and Finance's Returns: Recent Trends in Rentier Incomes in OECD Countries, 1960-2000'. Working paper. Research Briefs. Political Economy Research Institute, University of Massachusetts at Amherst. <https://EconPapers.repec.org/RePEc:uma:perirb:rb2002-2>.
- Pyatt, Graham. 1976. 'On the Interpretation and Disaggregation of Gini Coefficients'. *The Economic Journal* 86 (342): 243–55. <https://doi.org/10.2307/2230745>.
- Quinn, Dennis P., and A. Maria Toyoda. 2008. 'Does Capital Account Liberalization Lead to Growth?' *The Review of Financial Studies* 21 (3): 1403–49. <https://doi.org/10.1093/rfs/hhn034>.
- Ridpath, Nick. 2024. 'Why Isn't Britain Getting Richer Anymore?' *Institute for Fiscal Studies* (blog). 1 February 2024. <https://ifs.org.uk/articles/why-isnt-britain-getting-richer-anymore-0>.
- Scholl, Nathalie, and Stephan Klasen. 2018. 'Re-Estimating the Relationship between Inequality and Growth'.
- Schwan, Michael, Christine Trampusch, and Florian Fastenrath. 2021. 'Financialization of, Not by the State. Exploring Changes in the Management of Public Debt and Assets across Europe'. *Review of International Political Economy* 28 (4): 820–42. <https://doi.org/10.1080/09692290.2020.1823452>.
- Solt, Frederick. 2020. 'Measuring Income Inequality Across Countries and Over Time: The Standardized World Income Inequality Database'. *Frederick Solt*, May. <https://fsolt.org/res/published/solt2020/>.
- . 2024. 'The Standardized World Income Inequality Database, Versions 8-9'. Harvard Dataverse. <https://doi.org/10.7910/DVN/LM4OWF>.
- Stansbury, Anna, MIT Sloan, and Dan Turner. 2023. 'Tackling the UK's Regional Economic Inequality: Binding Constraints and Avenues for Policy Intervention'.
- Stewart, Heather. 2024. 'Economists and Policy Experts Warn Reeves against City Deregulation'. *The Guardian*, 16 December 2024, sec. Business. <https://www.theguardian.com/business/2024/dec/16/economists-policy-experts-warn-rachel-reeves-city-deregulation>.
- Stockhammer, Engelbert. 2013. 'Financialization, Income Distribution and the Crisis'. *Investigación Económica* 71 (279). <https://doi.org/10.22201/fe.01851667p.2012.279.37326>.
- Tanndal, Julia, and Daniel Waldenström. 2018. 'Does Financial Deregulation Boost Top Incomes? Evidence from the Big Bang'. *Economica* 85 (338): 232–65. <https://doi.org/10.1111/ecca.12247>.
- Voitchovsky, Sarah. 2005. 'Does the Profile of Income Inequality Matter for Economic Growth?' *Journal of Economic Growth* 10 (3): 273–96.

- Westwood, Andy, Michael Kenny, Philip McCann, Diane Coyle, and Adrian Pabst. 2024. 'How Is Regional Inequality Affecting the UK's Economic Performance?' *Economics Observatory* (blog). 23 January 2024. <https://www.economicsobservatory.com/how-is-regional-inequality-affecting-the-uks-economic-performance>.
- Williamson, John, and Molly Mahar. 1998. *A Survey of Financial Liberalization*. Essays in International Finance, no. 211. Princeton, N.J.: International Finance Section, Dept. of Economics, Princeton University.
- World Bank. 2022. 'Global Financial Development Database'. <https://www.worldbank.org/en/publication/gfdr/data/global-financial-development-database>.
- . 2023. 'Database of Political Institutions'. <https://datacatalog.worldbank.org/search/dataset/0039819/Database-of-Political-Institutions>.
- . 2024. 'World Bank Country Classifications by Income Level for 2024-2025'. World Bank Blogs. 2024. <https://blogs.worldbank.org/en/opendata/world-bank-country-classifications-by-income-level-for-2024-2025>.
- World Bank Data. 2023. 'World Development Indicators'. <https://databank.worldbank.org/source/world-development-indicators>.
- . 2025. 'Metadata Glossary - Gini Index'. 2025. <https://databank.worldbank.org/metadataglossary/gender-statistics/series/SI.POV.GINI>.
- Zalewski, David A., and Charles J. Whalen. 2010. 'Financialization and Income Inequality: A Post Keynesian Institutional Analysis'. *Journal of Economic Issues* 44 (3): 757–77. <https://doi.org/10.2753/JEI0021-3624440309>.
- Zwan, Natascha van der. 2014. 'Making Sense of Financialization'. *Socio-Economic Review* 12 (1): 99–129. <https://doi.org/10.1093/ser/mwt020>.
- Zweimüller, Josef. 2000. 'Schumpeterian Entrepreneurs Meet Engel's Law: The Impact of Inequality on Innovation-Driven Growth'. *Journal of Economic Growth* 5 (2): 185–206. <https://doi.org/10.1023/A:1009889321237>.

10. Annexes

Annexe 1: Literature review summary tables

Table 10.1. Key financial deregulations in donor pool countries

Country	Deregulation started	Key deregulation events	Liberalised financial market by 1996
Australia	1980	Bank specialisation rules ended (1980), check-like instruments allowed (1986)	Yes
Canada	1967 IR, 1980	Securitisation (1980, 1987), mortgage loan subsidiaries allowed (1980), entry barriers removed (1992)	Yes
Denmark	1982 IR	Bond issuance restrictions removed (1989, 1991 EEC)	—
Finland	1986 IR	Mortgage lending guidance withdrawn (1987, 1989 S)	—
France	—	Unequal rules still present in 1996; EEC implementation (1992)	—
Germany	1967 IR, 1980	EEC implementation (1992), gradual deregulation during 1980s	Yes
Ireland	—	—	—
Italy	1983 IR	Credit ceilings ended (1983), EEC (1993), entry barriers removed (1990, 1993)	—
Japan	1993–1994 IR, 1979	Securitisation and partial liberalisation (1993), still incomplete	—
Netherlands	1980 IR	EEC implementation (1992)	—
New Zealand	1984 IR	Lending controls abolished (1984), stock market liberalised (1986)	—
Norway	1984 IR	Lending controls abolished (1984)	—
Portugal	—	—	—
Spain	—	—	—
Sweden	1985 IR	Lending ceilings abolished (1985)	—
Switzerland	—	—	—
United Kingdom	1980	Minimum lending rate abolished (1981), Big Bang (1986), EEC (1993)	Yes
United States	1971 S, 1982	IR deregulated (1980), thrift restrictions lifted (1980), entry barriers removed (1978, 1995)	Yes

Note: IR: Interest Rate Deregulation, S: Securitisation, EEC: Implementation of the European Union's Second Banking Directive. 'Yes' under the last column means the country was considered to have a liberalised financial market by 1996 according to Williamson and Mahar (1998).

Source: Own elaboration, based on Williamson and Mahar (1998); Girouard and Blöndal (2001); Tanndal and Waldenström (2018).

Table 10.2. Summary of empirical studies of the effects of inequality on growth

Authors	Region studied	Inequality measure	Result
POSITIVE			
Forbes (2000)	45 mid-/high-income countries (1966–1995)	Gini coefficient	Positive
Scholl and Klasen (2018)	122 countries (1961–2012)	Gini coefficient	Positive
Li and Zou (1998)	46 countries (1947–1994)	Gini coefficient	Positive
Kaldor (1955)	Theoretical	Income distribution	Positive
NEGATIVE			
Alesina and Rodrik (1994)	46 countries (1960–1985)	Gini coefficient	Negative
Persson and Tabellini (1994)	56 countries (1960–1985)	Share of fourth quintile	Negative
Alesina and Perotti (1996)	Cross-country	Gini coefficient	Negative (via social unrest)
Perotti (1996)	67 countries (1960–1985)	Share of 3rd and 4th quintiles	Negative
Cingano (2014)	OECD countries (1980–2012)	Gini coefficient	Negative
Galor and Zeira (1993)	Theoretical	Income distribution	Negative (credit constraints)
De la Croix and Doepke (2003)	Theoretical	Gini coefficient	Negative (via low education)
Zweimüller (2000)	Theoretical	Income distribution	Negative
INCONCLUSIVE			
Voitchovsky (2005)	21 developed countries (1975–2000)	Gini coefficient	Lower decile (-), upper decile (+)
Barro (2000)	84 countries (1965–1995)	Gini coefficient	Poor (-), rich (+)
Halter et al. (2014)	106 countries (1965–2005)	Gini coefficient	Short-run (+), long-run (-)
Ostry et al. (2014)	90 countries (1960–2010)	Gini coefficient	Early stage (+), mature stage (-)

Note: Methods used in the empirical studies include ordinary least squares (OLS), two-staged least squared (2LSL), generalised method of moments (GMM), fixed-effects and pooled regression analysis.

Source: Own elaboration, based on Mdingi and Ho (2021).

Annexe 2: Empirical analysis statistical tables

Table 10.3. Description of predictor variables

Predictor variables	Source
Inequality indicator	
Gini index (consumption distribution, in %)	World Development Indicators
Economic indicators	
Annual GDP growth	World Development Indicators
Real GDP per capita (constant prices)	World Development Indicators
Exports (% of GDP)	World Development Indicators
Imports (% of GDP)	World Development Indicators
Stock market capitalisation (% of GDP)	Global Financial Development Database
General government final consumption expenditure (% of GDP)	World Development Indicators
Inflation, consumer prices (annual %)	World Development Indicators
Unemployment rate (% of total labour force)	World Development Indicators
Financial openness and regulation indicators	
Chinn-Ito index of financial openness (0-1)	Chinn and Ito 2021
Quinn index, restrictions to capital account (0-100)	Quinn and Toyoda 2008
Quinn index, restrictions to current account (0-100)	Quinn and Toyoda 2008
Taxes on income, profits and capital gains (% of revenue)	World Development Indicators
Political institutions indicators	
Right-wing chief executive party (0-1)	Database of Political Institutions
Electoral proportional representation (0-1)	Database of Political Institutions
British legal origin (0-1)	La Porta et al. 1997
Education and labour market indicators	
Strictness of employment protection (0-6 scale)	Indicators of Employment Protection
Years of schooling	World Development Indicators

Source: Own elaboration.

Table 10.4. Working dataset descriptive statistics

Variable	Obs	Mean	Std Dev	Min	Max
Year	600	1990.5	11.553	1971	2010
Gini index (0-100)	600	30.936	4.609	19.4	42.6
GDP growth (annual %)	600	2.763	2.451	-8.076	12.147
Real GDP per capita (constant 2015 USD)	600	34380.585	14246.978	11952.151	82481.07
Exports to GDP (% of GDP)	600	35.698	16.262	12.398	103.209
Imports to GDP (% of GDP)	600	34.306	14.04	11.001	86.654
Stock market capitalisation (% of GDP)	600	44.279	74.437	-414.868	283.131
Government expenditure (% of GDP)	600	20.303	4.704	8.068	41.258
Inflation rate (annual %)	600	7.889	22.814	-4.448	373.216
Unemployment rate (% of total labour force)	600	4.38	14.946	-95.337	41.885
Chinn-Ito index of financial openness (0-1)	600	.754	.287	0	1
Quinn index, restrictions to capital account (0-100)	600	82.438	19.358	37.5	100
Quinn index, restrictions to current account (0-100)	600	85.906	17.626	31.25	100
Taxes on income, profits & capital gains (% of revenue)	600	32.992	15.351	5.545	101.595
Right-wing chief executive party (0-1)	600	.412	.493	0	1
Electoral proportional representation (0-1)	600	.788	.409	0	1
British legal origin (0-1)	600	.333	.472	0	1
Strictness of employment protection (0-6)	600	2.057	.815	.587	3.65
Years of schooling	600	10.01	1.572	5.505	12.916

Source: Own elaboration.

Table 10.5. Covariate balance, values and bias in pretreatment periods

Covariate	Covariate weight (0-1)	Covariate value			SMD	
		Actual UK	Synthetic UK	Average control	Synthetic UK	Average control
Unemployment rate	0.367	-7.336	-6.697	-0.898	-0.087	-0.878
Gini (1984)	0.321	29.200	29.405	30.129	0.007	0.032
Employment protection	0.107	1.345	1.302	2.165	-0.033	0.609
Inflation rate	0.046	11.609	8.545	16.100	-0.264	0.387
Real GDP per capita	0.032	22890.724	25729.776	26451.562	0.124	0.156
UK legal origin	0.024	1.000	0.607	0.286	-0.393	-0.714
Right wing executive	0.023	0.667	0.509	0.324	-0.236	-0.514
Gini (1979)	0.018	27.400	28.658	30.480	0.046	0.112
Quinn index (capital)	0.015	75.000	64.948	66.310	-0.134	-0.116
Quinn index (current)	0.014	76.667	76.408	71.696	-0.003	-0.065
Stock market cap	0.009	40.075	31.139	3.370	-0.223	-0.916
GDP growth rate	0.007	2.235	3.134	3.058	0.402	0.368
Proportional representation	0.006	0.000	0.670	0.824	.	.
Taxation rate	0.002	40.131	59.855	33.527	0.492	-0.165
Exports to GDP	0.002	26.243	28.936	31.056	0.103	0.183
Gini (1974)	0.002	29.000	28.244	31.143	-0.026	0.074
Imports to GDP	0.002	25.783	28.840	32.227	0.119	0.250
Chinn-Ito index	0.001	0.560	0.705	0.553	0.258	-0.013
Government expenditure	0.001	20.499	19.806	20.110	-0.034	-0.019
Years of schooling	0.001	8.460	9.673	8.898	0.143	0.052

Note: 'Weight' is the optimal covariate weight in the diagonal of V matrix, from 0 to 1. 'Synthetic UK' is the weighted average of donor units with optimal weights. 'Average Control' is the simple average of all 20 control countries with equal weights. 'SMD' is the standardised mean difference between treated and control units, from 0 to 1, indicating the level of bias in the control. The closer to 0, the lower the bias.

Source: Own elaboration.